ORACLE APPLICATIONS

Technical Brief – Subledger Accounting Setup for Oracle Fusion Assets

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Content

Introduction **4**
Goal 4

Definitions **5**
Account Rules (AR) 5
Journal Line Rules (JLR) 5
Description Rules (DR) 5
Event 6
Subledger Journal Entry Rule Sets (SJERS) 6
Accounting Method 6
Ledger 6
Fusion Assets vs. EBS R12 Assets 6

General Overview of the setup steps **7**
What are the setup steps that need to be made in FA? 7

Subledger Accounting Setup **9**
What does the default setup look like that Oracle Fusion Assets uses to generate accounting? 9

Navigation in the Functional Setup Manager (FSM) **11**

Subledger Accounting Customization – Account Rules **12**
Case 1: Cost Center value from Expense Account (seeded as: FA_EXPENSE_ACCT_COST_CTR_SEG_PAY) 12
Case 2: 'Accounting Flexfield segment without a segment label' value from the code combination in the Manage Asset Category page (Account CCID) 13
Case 3: A constant value for an 'Accounting Flexfield segment without a segment label' 14
Case 4: Cost Center value from several different locations depending on the Retirement Type 15
Case 5: Segment Value derived from a Descriptive Flexfield Value 19
Case 6: Natural Account taken from the category for tax books 22

Subledger Accounting Customization – Subledger Journal Entry Rule Sets **23**
How to set up a Subledger Journal Entry Rule Set (SJERS)? 23
How are the custom Account Rules now linked to the SJERs? 26

Subledger Accounting Customization –Accounting Method **28**
How to set up the Accounting Method (AM)? 28
How are the custom SLERS now linked to the Accounting Method? 29

Subledger Accounting Customization – Link with the Ledger **31**
How to link the Accounting Method (AM) with the Ledger? 31

Intercompany Balancing Rules **34**
How to set up the Intercompany Balancing Rules? 34

GL Reconciliation **36**
How to set up GL Reconciliation for FA accounts with SLA when available? 36

Testing the Definition **38**
What will the accounts look like based on our setup? 38
How to transfer the SLA Setup for Fusion Assets to another instance? 40

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Document References

Document Title	Type of Reference	Document Location
Oracle Fusion Applications Financials Implementation Guide, Part No. E20375-01	Reference Manual	Oracle Fusion Applications Technology List of Books
Oracle Fusion Accounting Hub Implementation Guide, Part No. E20374-01	Reference Manual	Oracle Fusion Applications Technology List of Books
Oracle Fusion Applications Common Implementation Guide, Part No. E20360-01	Reference Manual	Oracle Fusion Applications Technology List of Books

Introduction

Goal

THE PURPOSE OF THIS DOCUMENT IS TO PROVIDE AN OVERVIEW on possible Subledger Accounting setup for Fusion Fixed Assets. We will discuss various scenarios and explain the necessary setup steps.

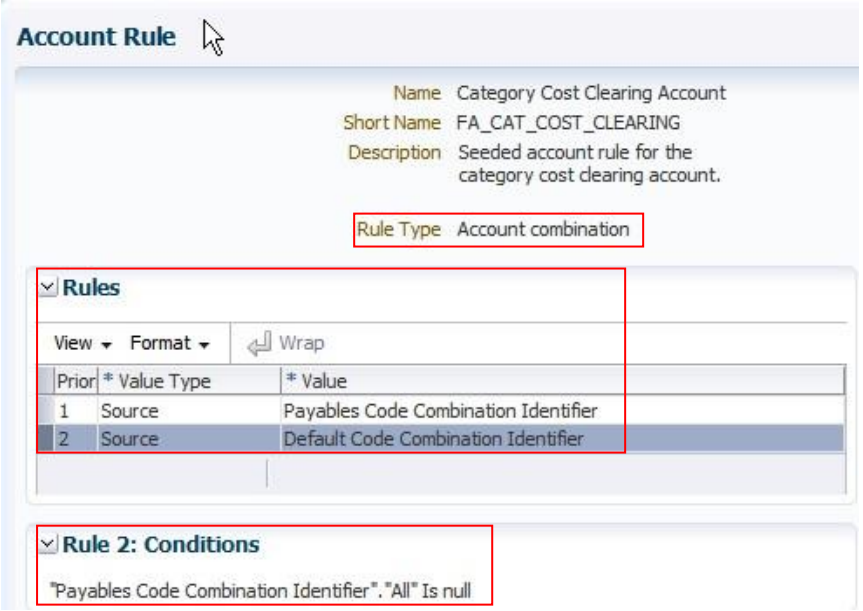
What is Subledger Accounting (SLA)?

Subledger Accounting (SLA) is a rule-based accounting engine that centralizes accounting for Oracle Fusion products. Subledger Accounting is not a separate product in itself, but is Oracle's engine catering to the accounting needs of both Oracle and external modules. Together with the ledger support, Subledger Accounting enables support of multiple accounting requirements concurrently in a single instance. Different accounting regulations can be satisfied by maintaining and applying different sets of rules to different sets of transactions, or accounting for the same transaction with multiple methods. Subledger accounting options define how journal entries are generated from subledger transactions at the subledger application level.

Definitions

Account Rules (AR)

These are the rules that determine from where an accounting flexfield value is taken or how it is derived. Oracle does provide seeded rules, however one can create one's own rules to derive accounting flexfield segment values. The following rule types are available: Account combination, Segment, and Value Set.

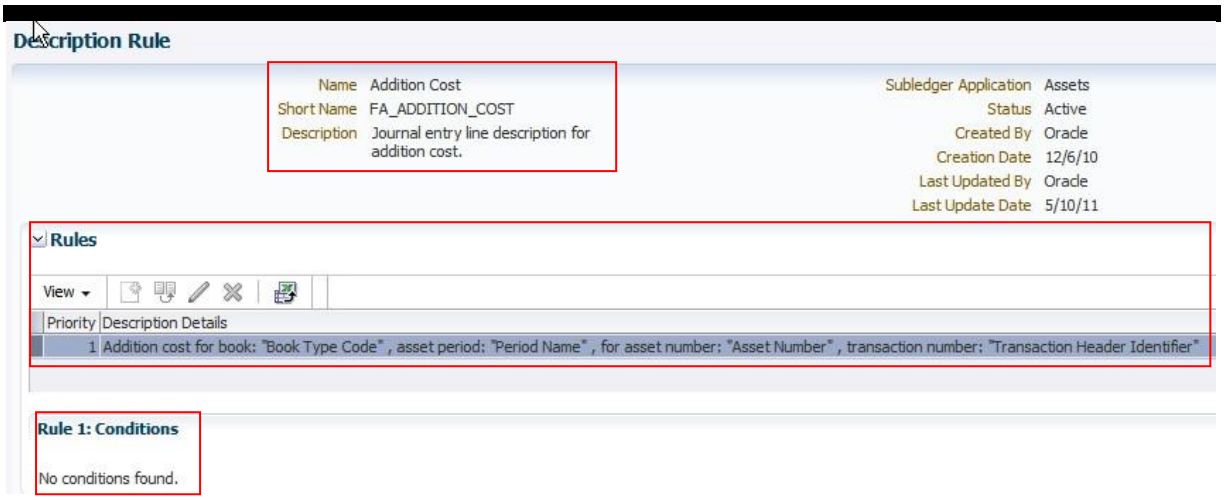


Journal Line Rules (JLR)

These are the rules that determine whether a subledger journal line will be a debit or a credit line, whether lines with the same account should be merged and what the accounting class of the line is. The Link Journal Lines option determines whether the journal line rule is set up to establish a link between the accounting of transactions that are related both within the same application, and across applications. In the seeded definition, no link is established.

Description Rules (DR)

These are the rules that determine what appears on the subledger journal entry at the header and/or the line. The definition determines both the content and sequence in which the elements of the description appear.



Event

Events are used to process transactions, i.e. the transaction drives the accounting event. E.g. the SLA setup for the transaction Addition, e.g. is built under the event Addition and the event CIP Addition. There are also non-accountable events, like an amortized life change where no subledger journal entry is created from the event.

Subledger Journal Entry Rule Sets (SJERS)

The component rules (Account Rules, Journal Line Rules, Description Rules, and Supporting References) are now combined under the Subledger Journal Entry Rule Sets to form the complete set of rules per accounting event for the subledger. This summary of the set of rules needs to be validated before it can be linked to the Accounting Methods for the subledger. The Subledger Journal Entry Rule Set can be assigned only to a Subledger Accounting Method with the same chart of accounts.

Accounting Method

The Accounting Method is the list of Subledger Journal Entry Rule Sets per subledger that can then be linked to the ledger. Only one Subledger Journal Entry Rule Set can be assigned to a Accounting Method with the same chart of accounts.

Ledger

The Ledger is what used to be called the General Ledger Set of Books. It consists of the currency, chart of accounts, accounting calendar, ledger processing options and subledger accounting method.

Fusion Assets vs. EBS R12 Assets

Fusion	EBS
Accounting Methods (AM)	Subledger Accounting Method (SLAM)
Subledger Journal Entry Rule Sets (SJERS)	Application Accounting Definition (AAD) with Journal Line Definition (JLD) *
Journal Line Rules (JLR)	Journal Line Type (JLT)
Account Rules (AR)	Account Derivation Rules (ADR)

Description Rules (DR)	Journal Entry Description (JED)

* AADs are obsolete. One links the Subledger Journal Entry Rule Sets (JLD's) directly to the Accounting Method.

General Overview of the setup steps

What are the setup steps that need to be made in FA?

The very first step is to design the setup. This is best done via a spreadsheet listing the accounting flexfield segment in columns and the different transactions and the accounts needed for them in rows. Then one would determine for each segment for each account needed when creating journals for a transaction where the segment values should be taken or derived from. This task should be performed before the first asset is added to the system.

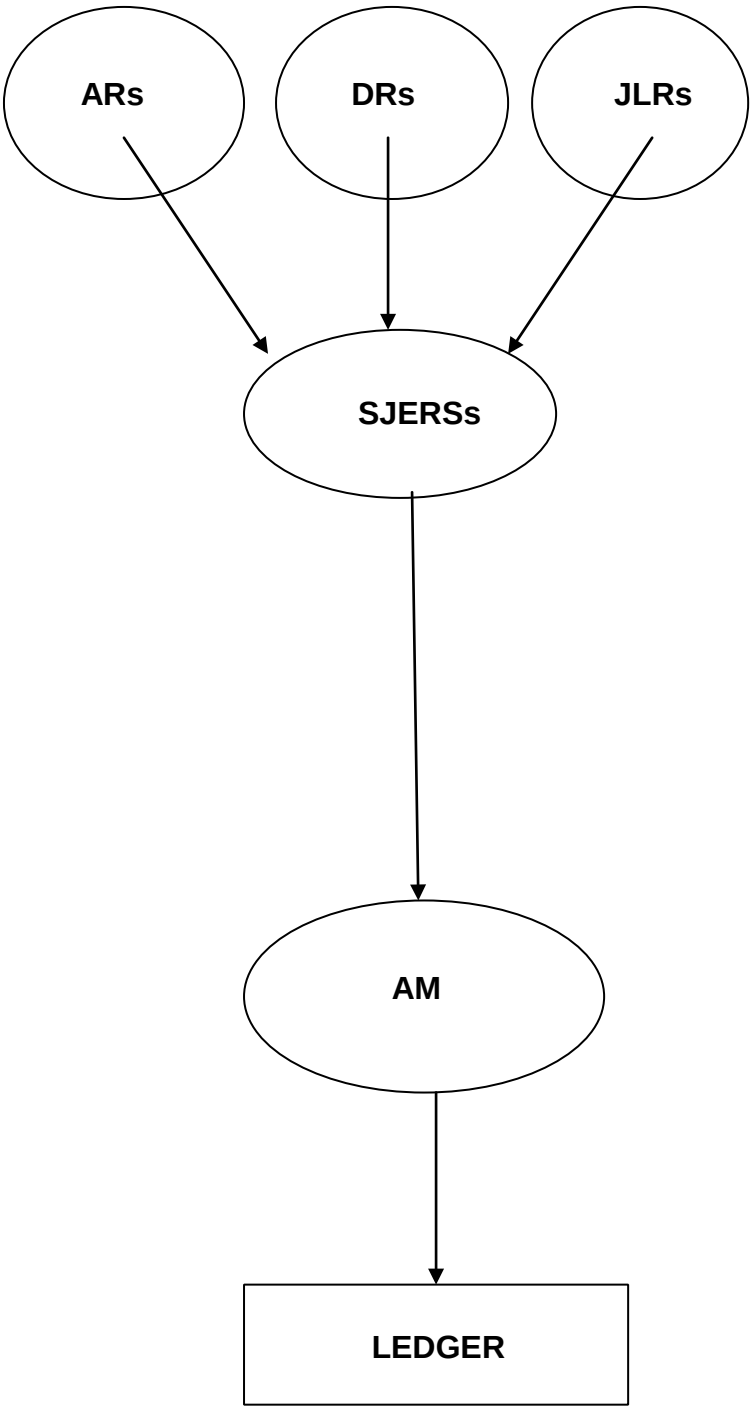
The journal schema per transaction is pretty much fixed in Fixed Assets. So even though one can alter the Description Rules and also create Journal Rules and this may be necessary for other subledgers, in Fixed Assets we do start with the Account Rules. We will also concentrate on them throughout this document.

Once the necessary Account Rules are set up, then the Subledger Journal Entry Rule Sets need to be set up, determining which Account Rule is needed per account for an event. Note: It can be a mixture of seeded Account Rules as well as newly created ones and not every event needs to be customized if the seeded setup covers the requirement.

The Subledger Journal Entry Rule Set is then linked with the Accounting Method, which in turn is then assigned to the Ledger.

Note: The Subledger Accounting setup is valid for ALL depreciation books belonging to the ledger that is linked.

The setup approach we are displaying here is ‘from the bottom up’, i.e. starting with the lowest level element until the elements are linked together validated and assigned to a ledger. However, one can also start from the top down with the Accounting Method until the Account Rules. In that case one needs to make sure that in the end the Accounting Method is linked to the ledger. The flow of the setup steps can be seen in the diagram below:



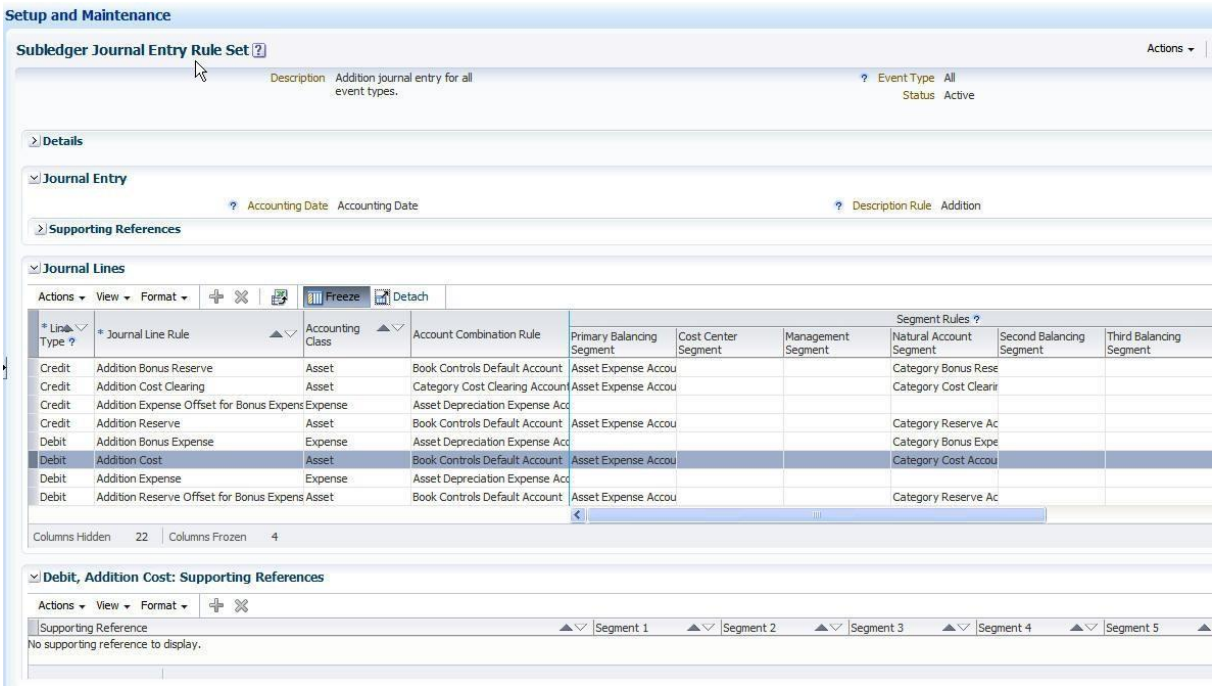
Subledger Accounting Setup

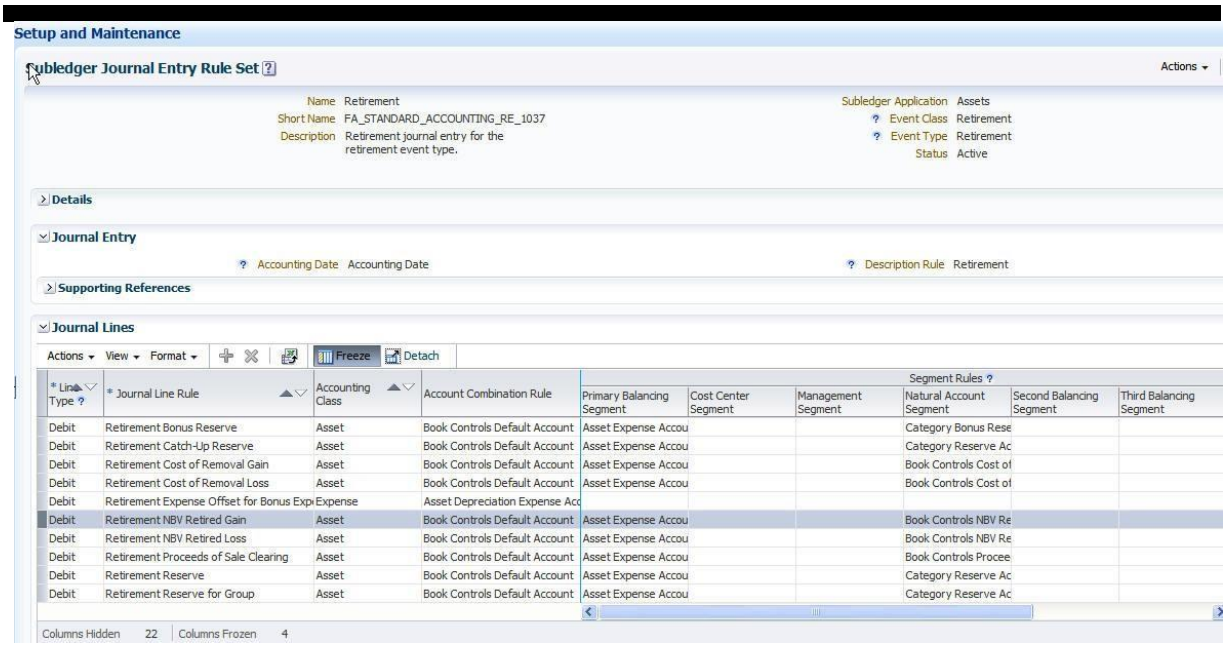
What does the default setup look like that Oracle Fusion Assets uses to generate accounting?

Oracle does provide a default setup for subledger accounting. If that default setup satisfies the requirements, then no further setup needs to be made.
Note: However, if some changes have to be made, then they should be made **before** an asset is entered in the system as changes take effect as soon as they are validated and therefore no 'dummy' transaction can be performed to move the balances to the new accounts. This would have to be done via a manual adjusting journal in GL.

The seeded SLA setup for Oracle Fusion Assets

The seeded SLA setup for Oracle Fusion Assets takes the balancing segment value from the Expense Account combination entered in the Assignments region when adding an asset, the natural account segment value from the Manage Asset Category or Manage Asset Book page – depending on the account – and all other segment values from the Account Default combination in the Manage Asset Book page under the Accounts region.





Example

How does the Depreciation Reserve Account get derived via the seeded Subledger Accounting setup for an Accounting Flexfield consisting of the following 3 segments: Company-Cost Center-Account :

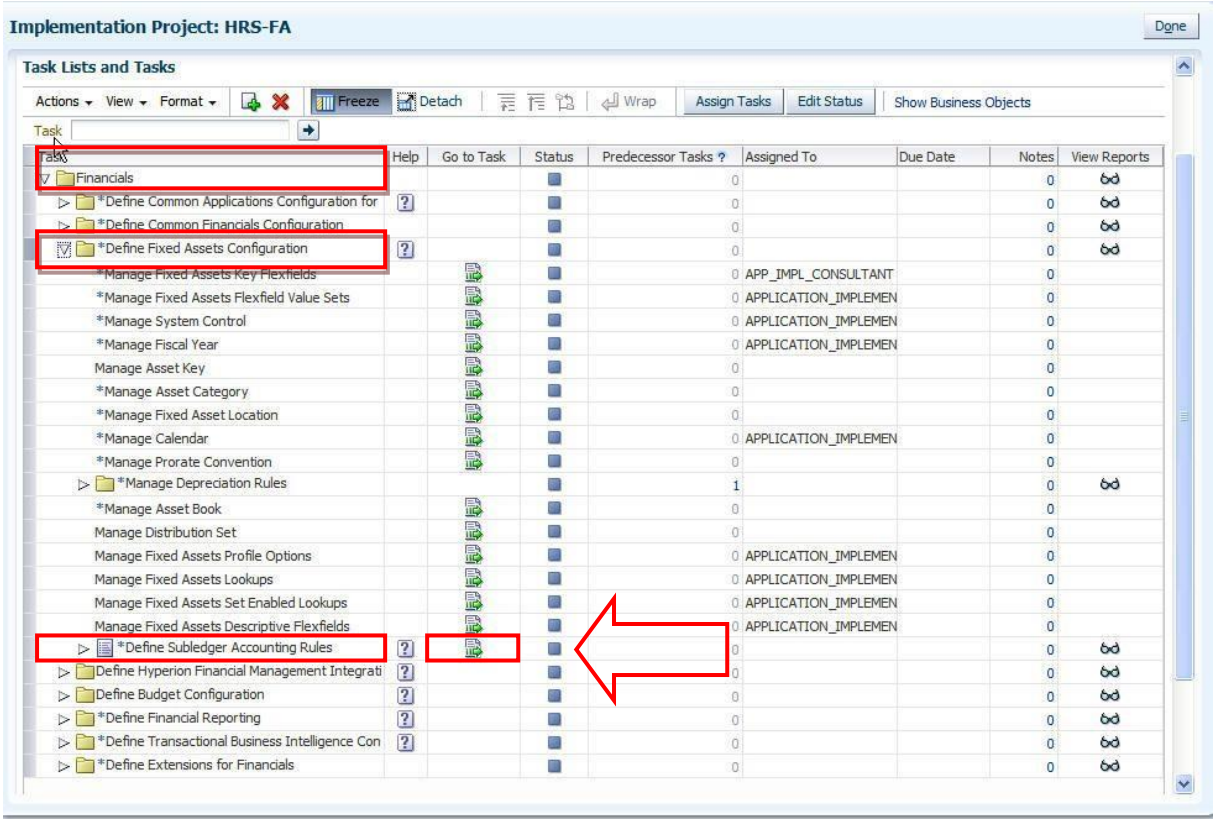
Asset Book Account Default combination	01-000-1000
Category – Depreciation Reserve Account	01-100-2000
Expense Account- Assignment	02-200-3000

Company	Company Segment from Expense Account - Assignment	02
Cost Center	Cost Center from Manage Asset Book Account Default Account	000
Account	Account value from Account Segment – From the Manage Asset Category page	2000

The Depreciation Reserve Account will be created with: 02-000-2000.

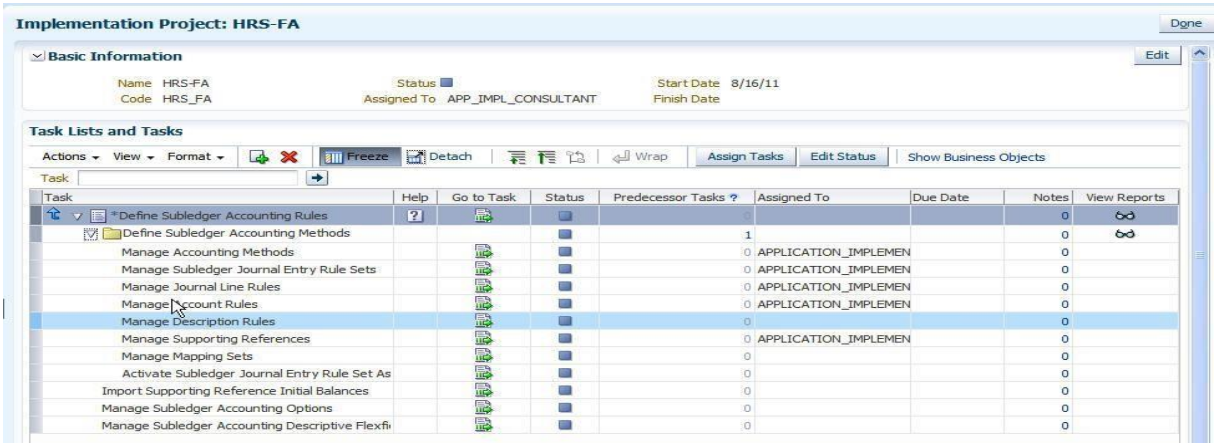
Navigation in the Functional Setup Manager (FSM)

All setup tasks in Oracle Fusion Applications are performed in the Functional Setup Manager (FSM). For further information on the FSM itself, please refer to Documentation Available Related with Functional Setup Manager (FSM) (Doc ID 1335563.1) and Primary Note on Functional Setup Manager (FSM) (Doc ID 1004.1).
The best way to start with the setup of Subledger Accounting for Assets is to create an Implementation Project either for Financials, which will then include Assets or for Assets alone via task Manage Implementation Projects.



Define Subledger Accounting Rules for Fusion Assets is a subset of the seeded Define Fixed Assets Configuration task list.

Note: By clicking on the Go to Task button for the Define Subledger Accounting Rules row, the subset of tasks opens and the Fixed Assets context is chosen. It is therefore important to perform this step in order to be able to perform the Subledger Accounting setup steps for Fusion Assets.



Subledger Accounting Customization – Account Rules

The way the SLA setup forms have been designed make alterations easy as one can query a seeded definition and copy it and then make the changes in the copy. The only page where that may not always be the quickest way is the Account Rules form.

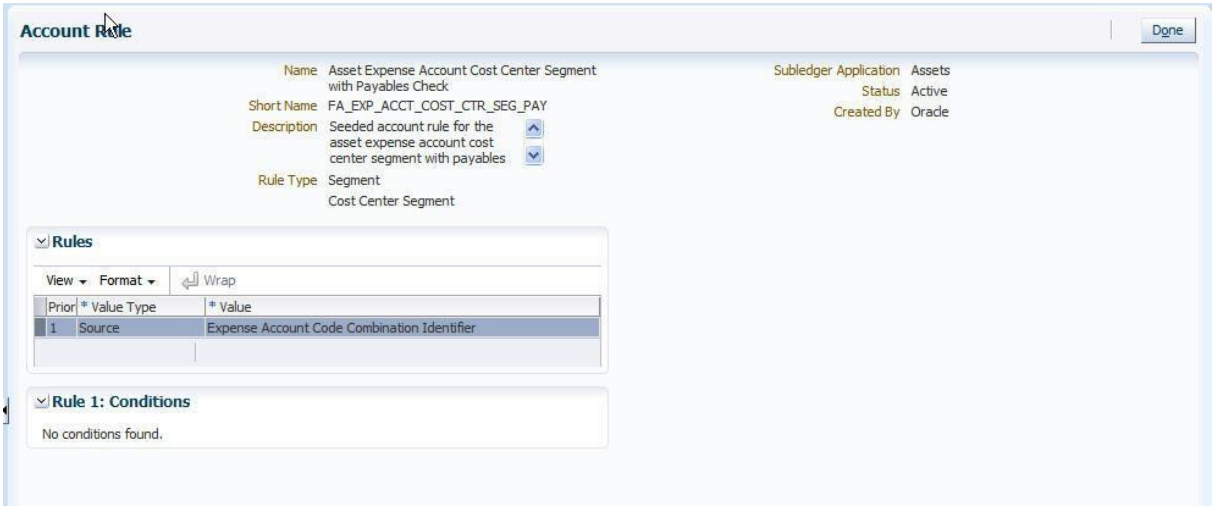
To copy/duplicate a component definition, use the copy icon or Actions > Duplicate.

We will not discuss the use of Mapping Sets here as there is currently no Lookup Type seeded for application Assets. We will also not look into custom sources.

We are, however, discussing six common setup cases below.

Note: Make sure that a clear and logical syntax for the naming convention is used so that one can quickly see the purpose of a definition.

Case 1: Cost Center value from Expense Account (seeded as: FA_EXPENSE_ACCT_COST_CTR_SEG_PAY)



The accounting flexfield needs to be picked if the Account Rule is to be on a rule for segments that do not have a flexfield segment label and if no constant value is to be used. As the cost center segment does have a segment label and we do not want to use a constant value here, it is not necessary to assign an accounting flexfield to the rule. The rule type is therefore segment and the segment chosen is the Cost Center Segment. The Expense Account Code Combination Identifier is the complete account code combination for the expense account of the Assignment region when adding an asset manually or via a source line.

As this rule is seeded, we do not need to define it and can use it later on when creating the Subledger Journal Entry Rule Sets.

Case 2: 'Accounting Flexfield segment without a segment label' value from the code combination in the Manage Asset Category page (Account CCID)

1. Navigation: Manage Account Rules

2. Give your Account Rule a short name, a description, and a meaningful name.

3. The accounting flexfield needs to be picked if the Account Rule is to be on a rule for segments that do not have a flexfield segment label and if no constant value is to be used. As the product segment does not have a segment label, it is necessary to assign an accounting flexfield to the rule. The rule type is segment and the segment chosen is the Product Segment. This segment will only be available in the pick list if the appropriate accounting flexfield is chosen.

4. In the Rules region of the form insert a new row and assign a priority. The Value Type is Source and the Value is Reserve Account Code Combination Identifier for the Segment Product. The Reserve Account Code Combination ID is the complete account code combination for the reserve account in the Manage Asset Category page.

5. No Condition is necessary here.

6. Save. This Account Rule is later used when creating the Subledger Journal Entry Rule Sets.

If one would want to use the complete account combination from an account in the Manage Asset Category page, then the Account Rule would have to be set up like in the following example, where the complete reserve account combination would be taken as set up in the Manage Asset Category page.

Note that the source used is the same as for the Account Rule above with the rule type Segment.

Case 3: A constant value for an 'Accounting Flexfield segment without a segment label'

1. Navigation: Manage Account Rules

2. Give your Account Rule a short name, a description, and a meaningful name.

3. The accounting flexfield needs to be picked if the Account Rule is to be on a rule for segments that do not have a flexfield segment label or if a constant value is to be chosen. As the product segment does not have a segment label and we do intend to use a constant value, it is necessary to assign an accounting flexfield to the rule. The rule type is segment and the segment chosen is the Product Segment. This segment will only be available in the pick list if the appropriate accounting flexfield is chosen.

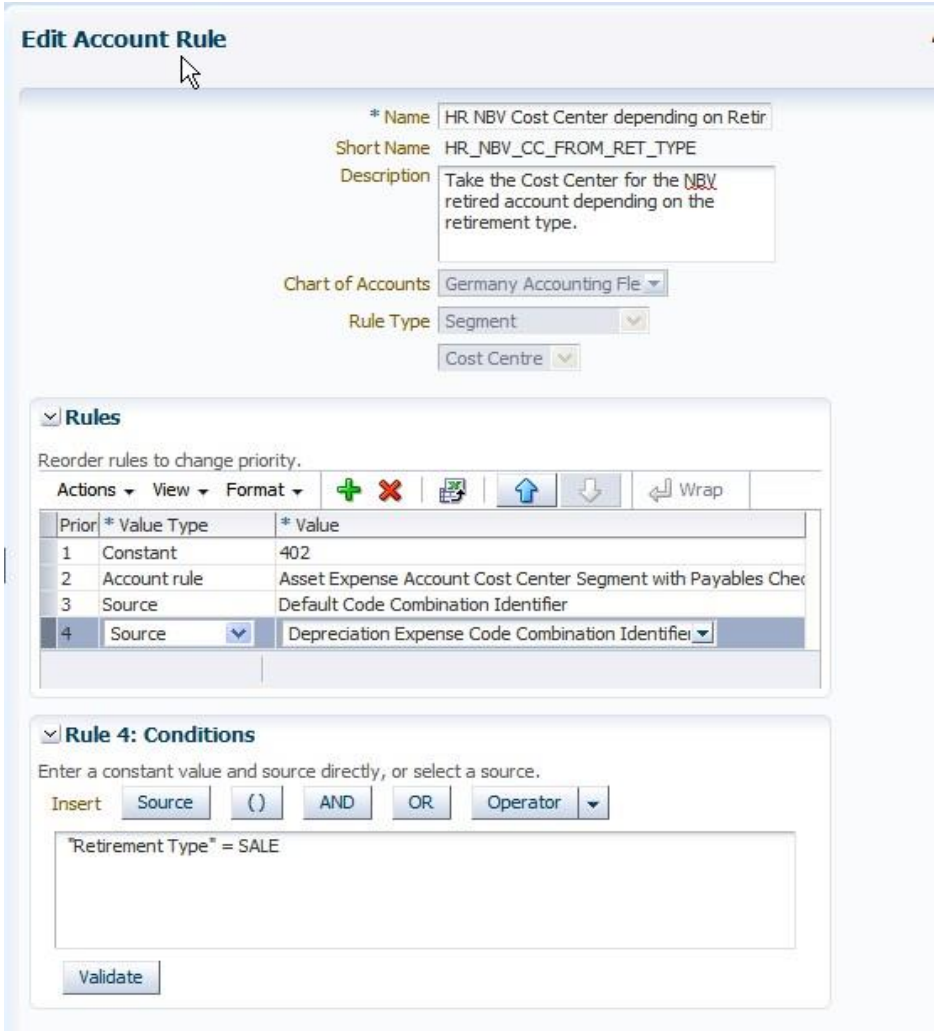
4. In the Rules region of the form insert a new row and assign a priority. The Value Type is Constant and the Value is 150, which is a valid segment value for this segment.

5. No Condition is necessary here.

6. Save. This Account Rule is later used when creating the Subledger Journal Entry Rule Sets.

Case 4: Cost Center value from several different locations depending on the Retirement Type

Option 1:



We will now also introduce conditions. With this example we want to show not only the conditions, but also the various 'locations' a segment value can be taken/derived from. We will use a constant value, the expense account from the Assignments window and also from the Manage Asset Categories from as well as the Default combination from the Manage Asset Book window.

1. Navigation: Manage Account Rules

2. Give your Account Rule a short name, a description, and a meaningful name.

3. The accounting flexfield needs to be picked if the Account Rule is to be on a rule for segments that do not have a flexfield segment label or if a constant value is to be chosen. As the Cost Center segment does have a segment label but we do intend to use a constant value, it is not necessary to assign an accounting flexfield to the rule. The rule type is segment and the segment chosen is the Cost Center Segment. This segment will only be available in the pick list if the appropriate accounting flexfield is chosen.

4. In the Rules region of the form insert a new row and assign a priority. The Value Type is Constant and the value is 402, which is a valid segment value for this segment.

5. In the Condition region pick the source Retirement Type, the operator =, and the value THEFT. The system will set the quotes on the source when saving the record.

6. In the Rules region of the form insert a new row and assign a priority. The Value Type is Account

Rule and the Value is Asset Expense Account Cost Center Segment with Payables Check for the Segment Cost Center Segment. The Expense Account Code Combination Identifier is the complete account code combination for the expense account in the Assignments region when adding an asset.

7. In the Condition region pick the source Retirement Type, the operator =, and the value CASUALTY. The system will set the quotes on the source when saving the record.

8. In the Rules region of the form insert a new row and assign a priority. The Value Type is Source and the Value is Default Code Combination Identifier for the Segment Cost Center Segment. The Default Code Combination Identifier is the complete account code combination for the Account Default account in the Manage Asset Book page.

9. In the Condition region pick the source Retirement Type, the operator =, and the value EXTRAORDINARY. The system will set the quotes on the source when saving the record.

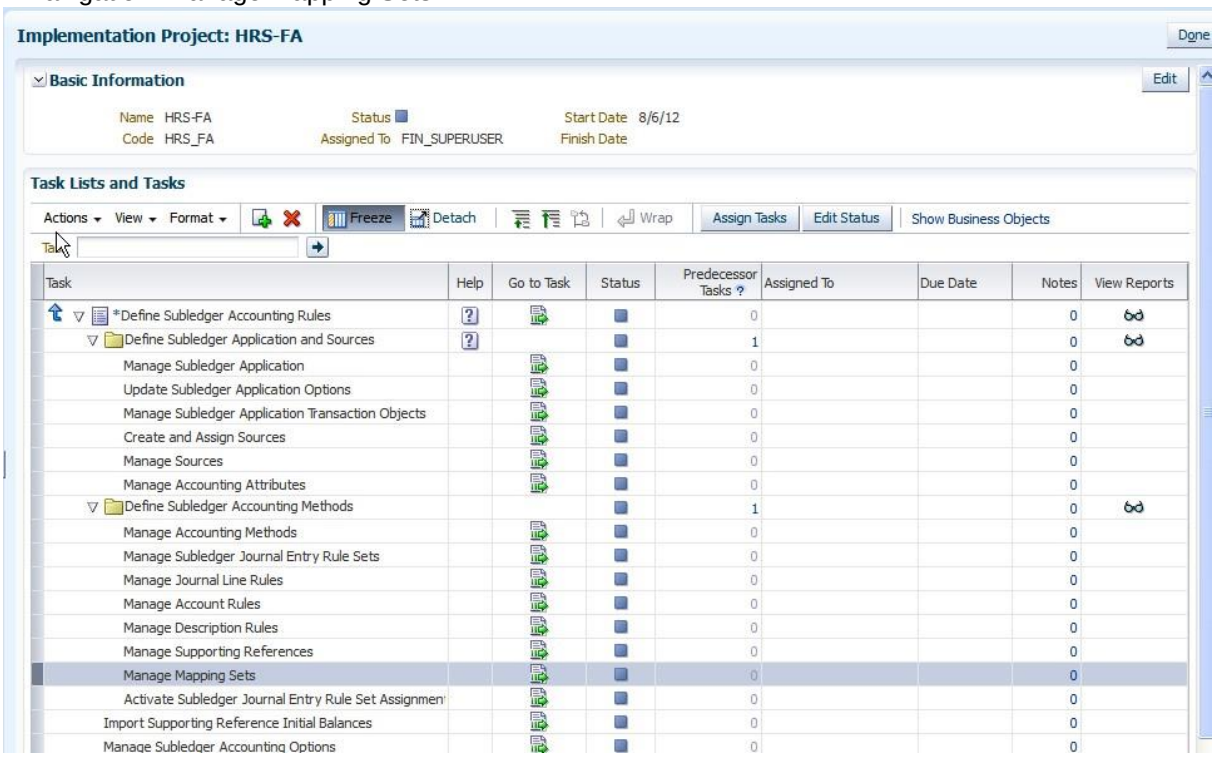
10. In the Rules region of the form insert a new row and assign a priority. The Value Type is Source and the Value is Depreciation Expense Code Combination Identifier for the Segment Cost Center Segment. The Depreciation Expense Code Combination Identifier is the complete account code combination for the Expense account in the Manage Asset Category page.

11. In the Condition region pick the source Retirement Type, the operator =, and the value SALE. The system will set the quotes on the source when saving the record.

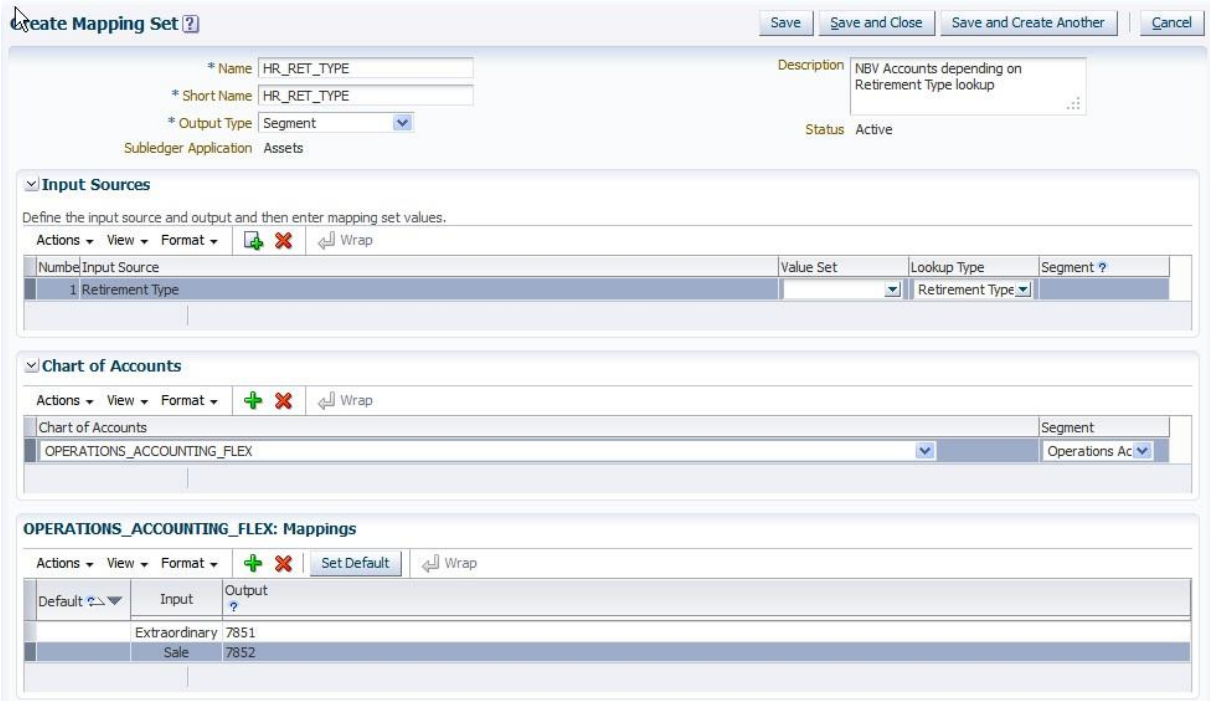
12. Save. This Account Rule is later used when creating the Subledger Journal Entry Rule Sets.

Option 2: Natural Account depending on Retirement Type

Alternatively, this can be set up via a Mapping Set as follows:
1. Navigation: Manage Mapping Sets



2. Give your Account Rule a short name, a description, and a meaningful name. For Output Type, pick Segment.



3. Choose Retirement Type as an Input Source and again Retirement Type as the Lookup Type.

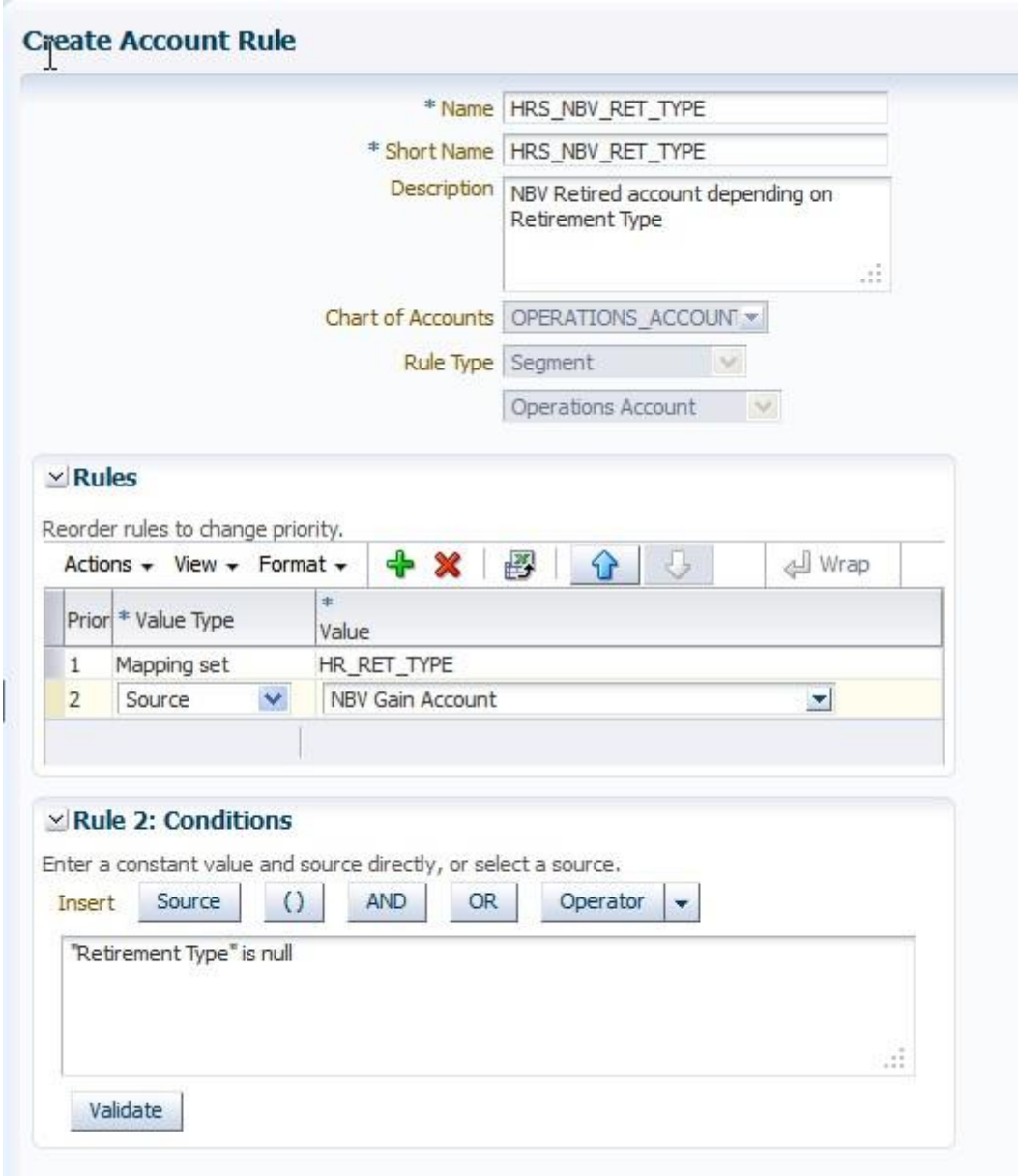
4. The accounting flexfield needs to be picked when defining a Mapping Set.

5. Under Mappings, choose the Value Type Input and the desired segment value as the output.

Continue adding rows until all desired input and output values are set up.

Note: At the time of this writing we could not set a Default value as per note Cannot Set Default On Subledger Accounting Mapping Set (Doc ID 1451072.1).

Save.



1. Navigation: Manage Account Rules

2. Give your Account Rule a short name, a description, and a meaningful name.

3. The accounting flexfield needs to be picked as well as the Rule Type Segment, as it was required for the Mapping Set.

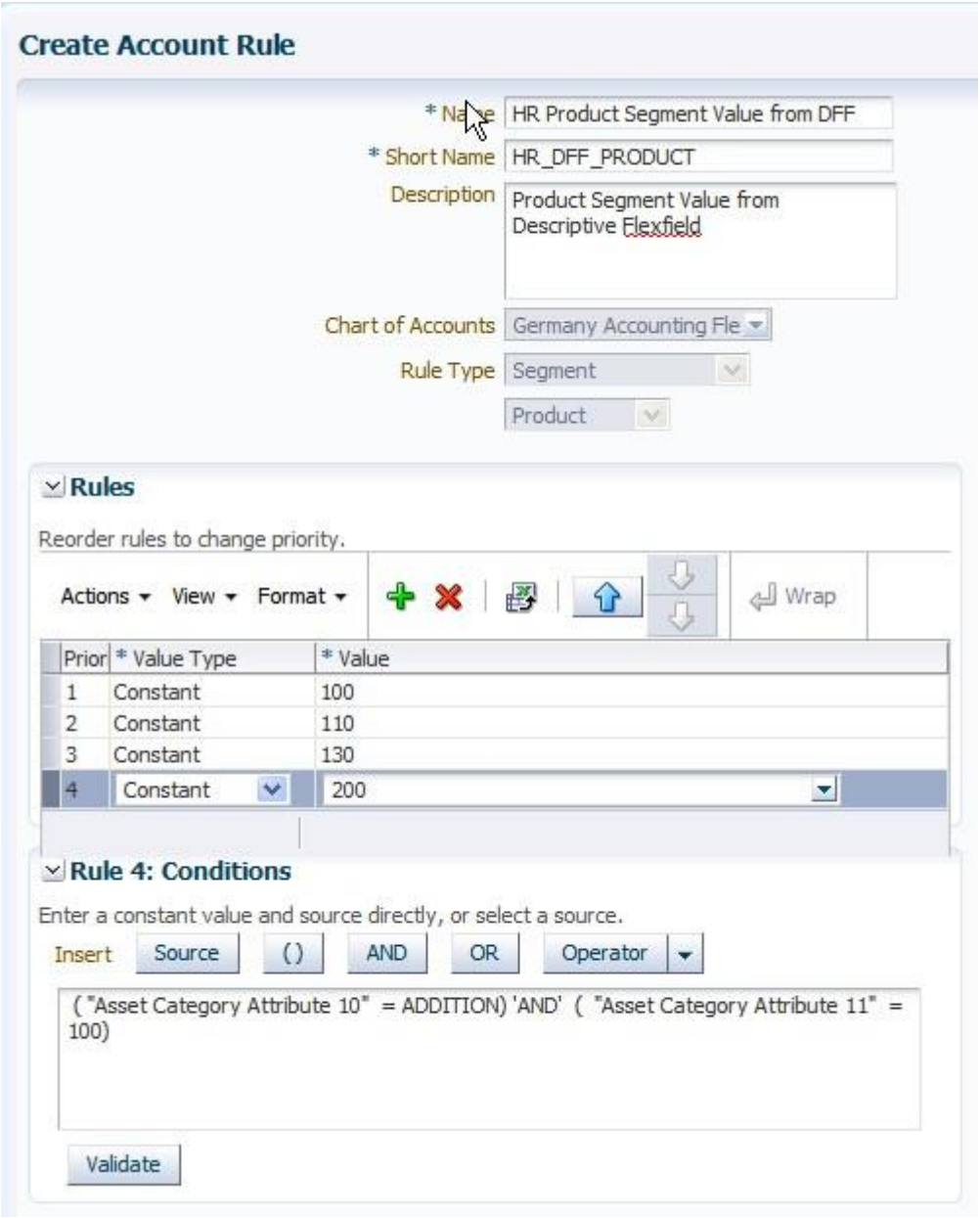
4. In the Rules region of the form insert a new row and assign a priority. Choose Value Type Mapping set and pick the Mapping Set we have just set up. No condition is necessary. Add a new row and assign a priority. The Value Type is Source and the Value is Net Book Value Retired Gain Account, which is the NBV Gain Account set up in the Manage Asset Book page.

5. In the Condition window assign a priority. Pick the source Retirement Type, the operator Is NULL. Save.

Optionally, set up a new ADR for the Book Value Retired Gain Account and repeat the same.

Case 5: Segment Value derived from a Descriptive Flexfield Value

There are 2 ways of setting up an Account Rule to derive an accounting flexfield value from a descriptive flexfield value.



Option 1:
The requirement here was to take a different segment value depending on the value entered in a descriptive flexfield in case of an asset addition. The setup done prior to defining this Account Rule was to set up the Asset Category Descriptive Flexfield. Behind ATTRIBUTE10 is a value set containing values ADDITION and behind ATTRIBUTE11 is a value set containing some values also used for the Product segment.

1. Navigation: Manage Account Rules

2. Give your Account Rule a short name, a description, and a meaningful name.

3. The accounting flexfield needs to be picked if the Account Rule is to be on a rule for segments that do not have a flexfield segment label or if a constant value is to be chosen. As the product segment does not have a segment label and we do intend to use a constant value, it is necessary to assign

an accounting flexfield to the rule. The rule type is segment and the segment chosen is the Product Segment. This segment will only be available in the pick list if the appropriate accounting flexfield is chosen.

4. In the Rules region of the form insert a new row and assign a priority. The Value Type is Constant and the Value is 100, which is a valid segment value for this segment.

5. In the Condition region pick the source Asset Category Attribute10, the operator = and the value ADDITION. The system will set the quotes on the source when saving the record. Chose AND, pick the source Asset Category Attribute11, the operator = and the value 100.

6. In the Rules region of the form insert a new row and assign a priority. The Value Type is Constant and the Value is 110, which is a valid segment value for this segment.

7. In the Condition region pick the source Asset Category Attribute10, the operator = and the value ADDITION. The system will set the quotes on the source when saving the record. Chose AND, pick the source Asset Category Attribute11, the operator = and the value 110.

8. Continue steps 4./5., i.e. 6./7. until all valid values and their conditions are set up. There is currently no possibility to handle this differently as there is no validation for the correlation of the segment values with the entered descriptive flexfield values.

9. Save. This Account Rule is later used when creating the Subledger Journal Entry Rule Sets.

Option 2:
Covering the same requirement, we are using the same descriptive flexfield setup.

1. Navigation: Manage Account Rules

2. Give your Account Rule a short name, a description, and a meaningful name.

3. The accounting flexfield should NOT be picked as instead of Flexfield or Segment, the rule type Value Set is chosen. The value set behind the Product segment of the accounting flexfield is picked.

4. In the Rules region of the form insert a new. The Value Type is Source and the Value is Asset Category Attribute 11, which is the attribute of the descriptive flexfield linked with the Product segment.

5. In the Condition region pick the source Asset Category Attribute10, the operator = and the value ADDITION. The system will set the quotes on the source when saving the record. Chose AND, pick the source Asset Category Attribute11, the operator IS NOT NULL. This means that only a value is used if there is one stored for an asset.

6. Save. This Account Rule can also be used later when creating the Subledger Journal Entry Rule Sets.

Case 6: Natural Account taken from the category for tax books

The seeded expense account definition takes the complete account combination from the Assignments window of the Asset Workbench. If one would want to create standard accounting also for tax books, then the corporate book expense account would be used.

1. Navigation: Manage Account Rules

2. Give your Account Rule a short name, a description, and a meaningful name.

3. The accounting flexfield needs to be picked if the Account Rule is to be on a rule for segments that do not have a flexfield segment label or if a constant value is to be chosen. The natural account segment, in this case, the accounting flexfield does not have to be used as the natural account segment is labeled.

4. In the Rules region of the form insert a new row and assign a priority. The Value Type is Source and the Value is Depreciation Expense Account Code Combination Identifier, which is the expense account combination from the Manage Asset Category page.

5. In the Condition region pick the source Book Type Code, the operator != for not equal and the value VISION DE HB as the book type code. If more corporate books exist for the ledger, they would have to be added here as well. The system will set the quotes on the source when saving the record.

Note: We have chosen the route over the source Book Type Code as the source Book Class is currently not yet available.

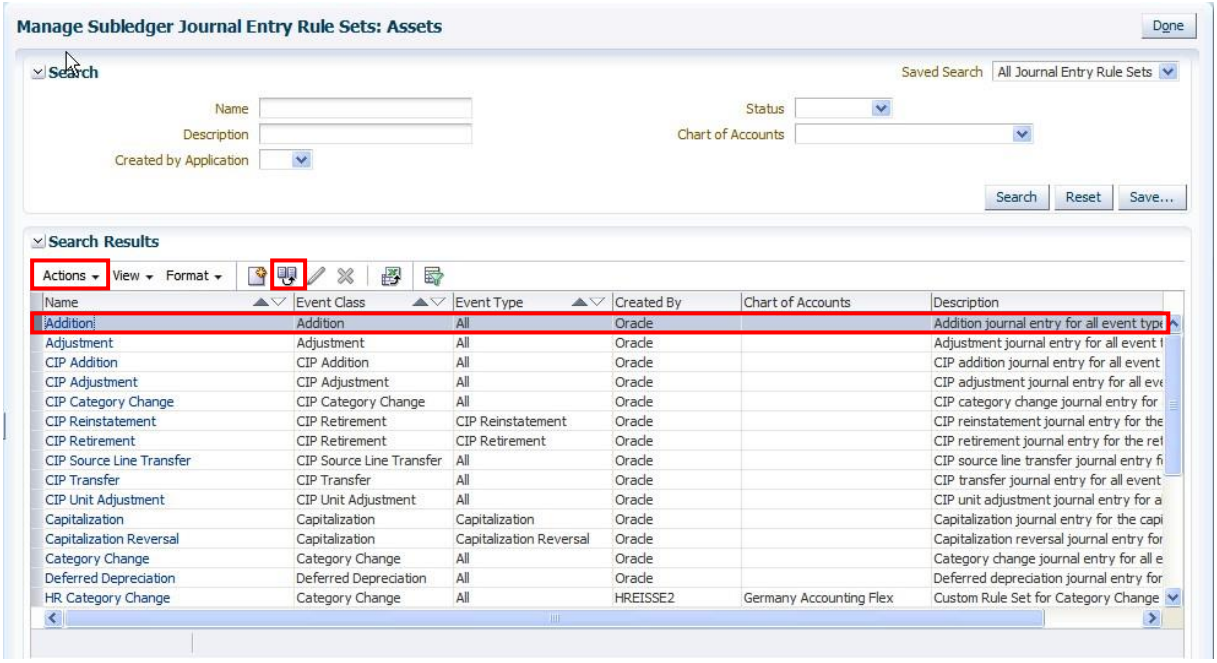
6. Save. This Account Rule is later used when creating the Subledger Journal Entry Rule Sets.

Subledger Accounting Customization – Subledger Journal Entry Rule Sets

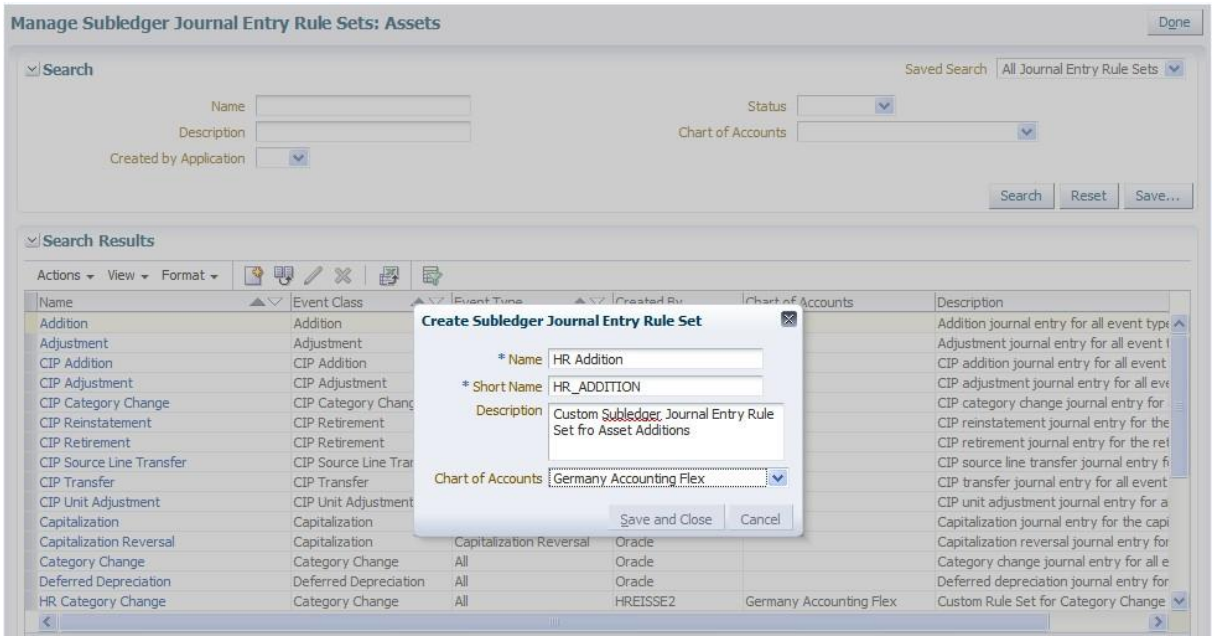
Now that we have set up the necessary Account Rules for our 6 cases, we have to set up the Journal Line Rules (JLRs). We are starting with the example of the event Addition, and then we will go on with the example event Retirement and finally recap the steps to set up a Subledger Journal Entry Rule Set SJER.

How to set up a Subledger Journal Entry Rule Set (SJERS)?

Navigate to Manage Subledger Journal Entry Rule Sets and search for the Addition rule set.

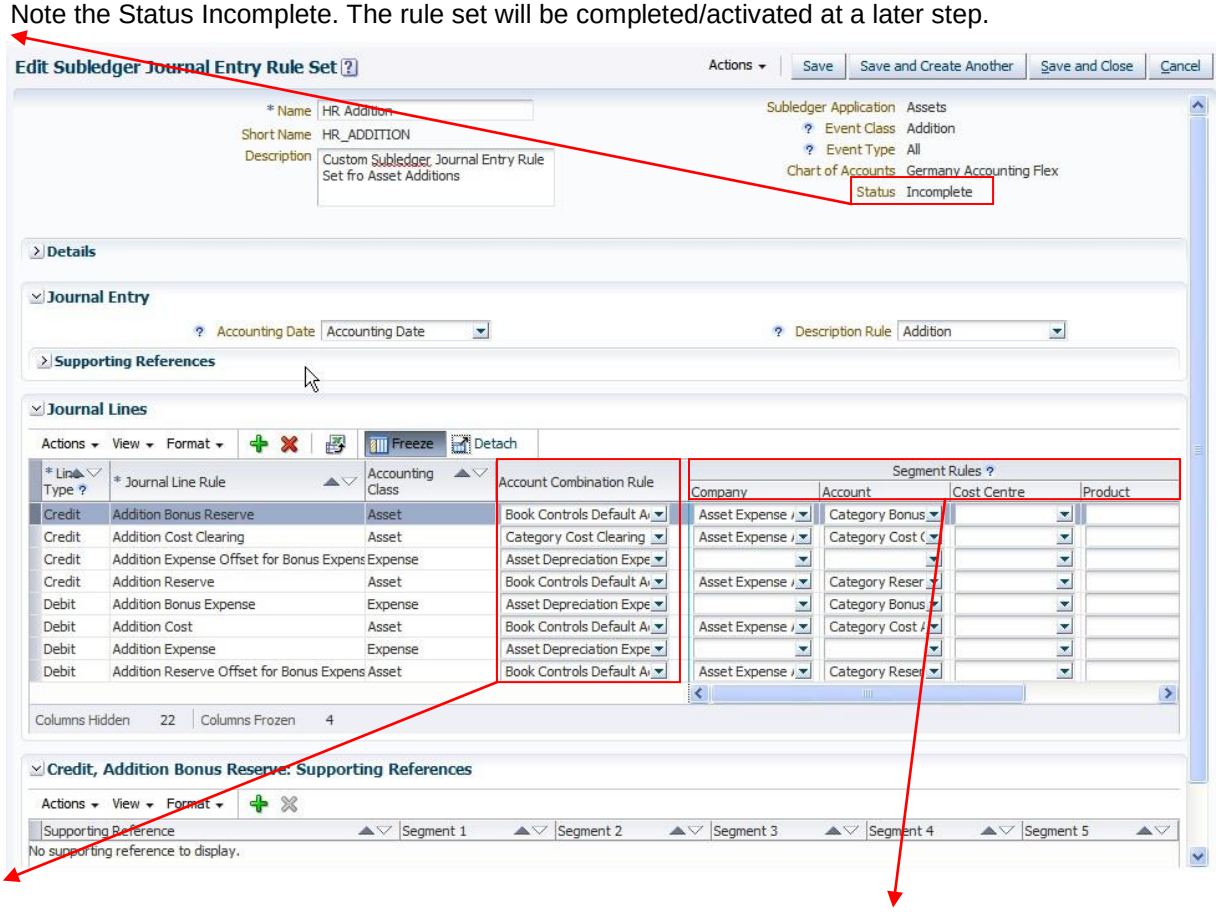


Click on the Duplicate button or got to Actions > Duplicate. This will open a pop-up window. Enter the Subledger Journal Entry Rule Set Name, Short Name and Description making sure that the chosen name is meaningful. If the Account Rules to be used were set up with a Chart of Accounts, then pick also the same Chart of Accounts for the Subledger Journal Entry Rule Set. Click on Save and close.



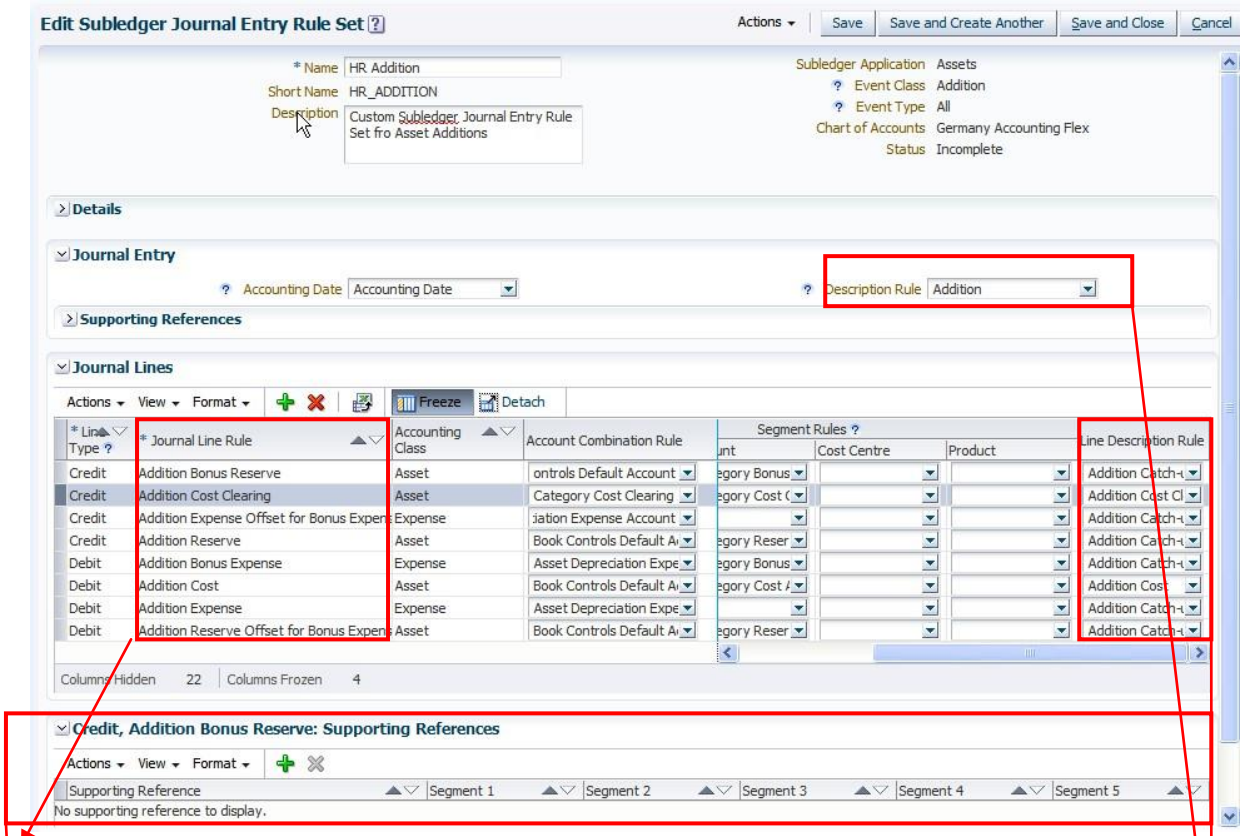
This will open the newly copied Subledger Journal Entry Rule Set. Let us take a look:

Note the Status Incomplete. The rule set will be completed/activated at a later step.



Note: **Account Combination Rule**s take the complete account code combination from a location. Individual segment values can then be overridden by the **Segment Rules**.
Book Controls Default Account is the default account combination defined in the Manage Asset Book page.
Asset Depreciation Expense Account is the expense account combination in the assignments region when adding or transferring an asset.

Category Cost Clearing Account is the complete account combination of the Asset Clearing account. **Note:** When adding an asset via another subledger, eg Payables, the Asset Clearing account combination entered in the subledger will be used to allow the clearing of that account combination. Manual additions in Assets will use the **Book Controls Default Account** combination.
Note: The Asset Clearing account combination entered in the subledger cannot be used as a source to derive account code combinations or segment values for any other account.



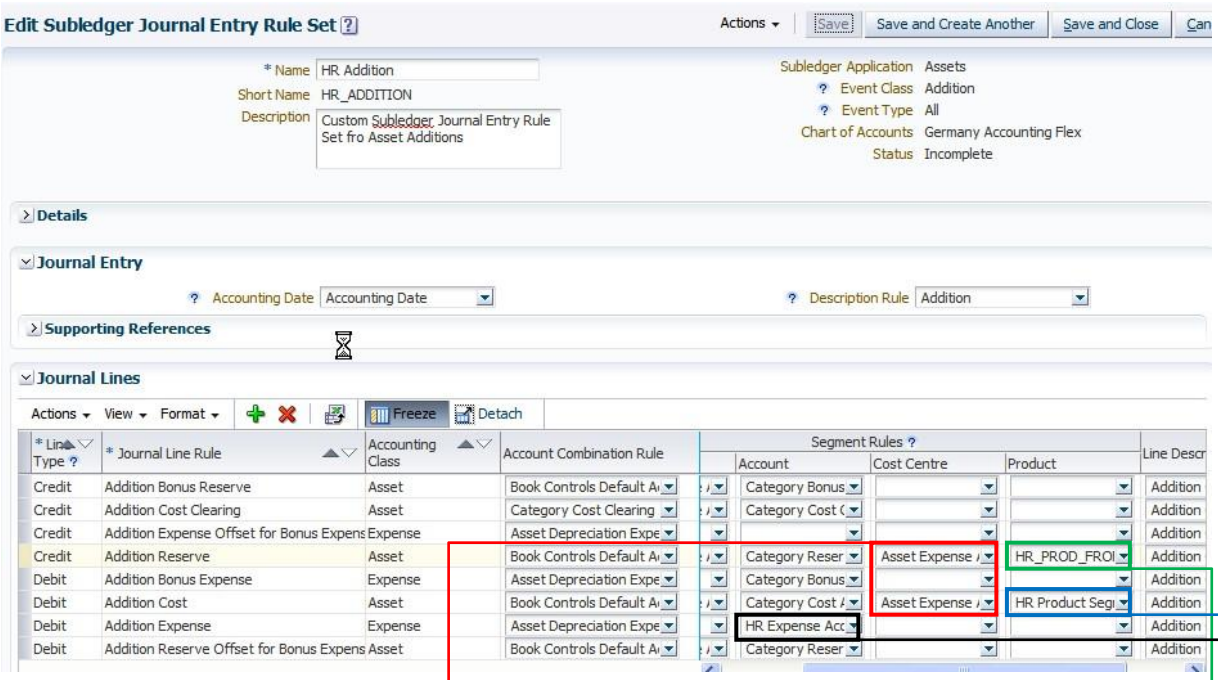
Note: These are the seeded **Journal Line Rules**. An example can be seen in the Definition section of this document. To use a custom Journal Line Rule (JLR), one would add the previously defined custom JLR via the Green Plus button or via Actions > Add Row. The seeded JLR that is replaced by the custom JLR needs to be removed via the Red Cross button or via Actions > Remove.

Note: These are the seeded **Description Rules**. An example can be seen in the Definition section of this document. To use a previously defined custom Description Rule (DR), one needs to click on the drop-down list and choose it.

Supporting references facilitate accounting analysis, reporting and reconciliation by letting you break down subledger balances in totals and subtotals. A supporting reference comprises of one or more pieces of transaction information, each of which can be used to calculate a subtotal or total of the account balance. No Supporting References are seeded for Fusion Assets. To create custom Supporting References use the help article “Creating Supporting References: Explained ” available in the Help Portal of the Fusion Application.

How are the custom Account Rules now linked to the SJERs?

Let us now pick the Segment Rules we have set up before. The Addition SJERS we set up as follows:

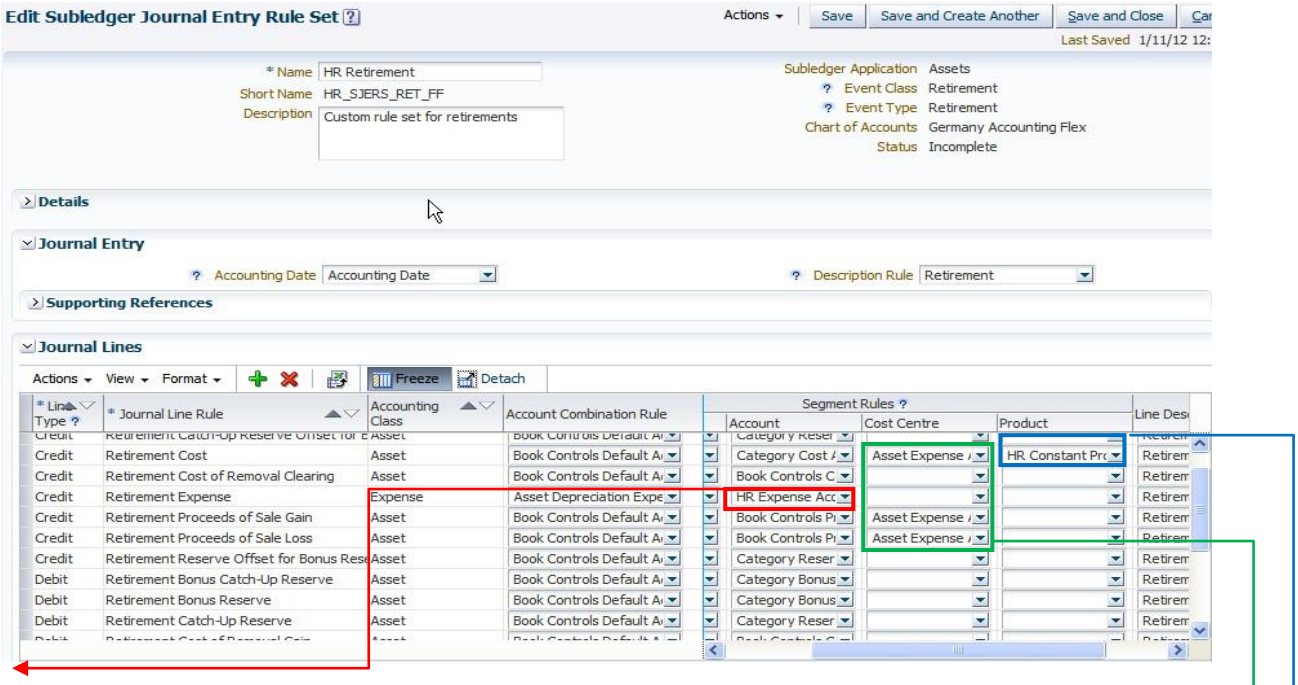


Account Rule from Case 1: seeded rule Asset Expense Account Cost Center Segment where the cost center value from the expense account combination in the Assignments page is taken.

Account Rule from Case 2: Product Segment value from the Reserve Account code combination in the Manage Asset Category page.

Account Rule from Case 5: Product Segment value from the Descriptive Flexfield where we want to take the Product segment value from the Descriptive Segment Value in case of an asset addition.

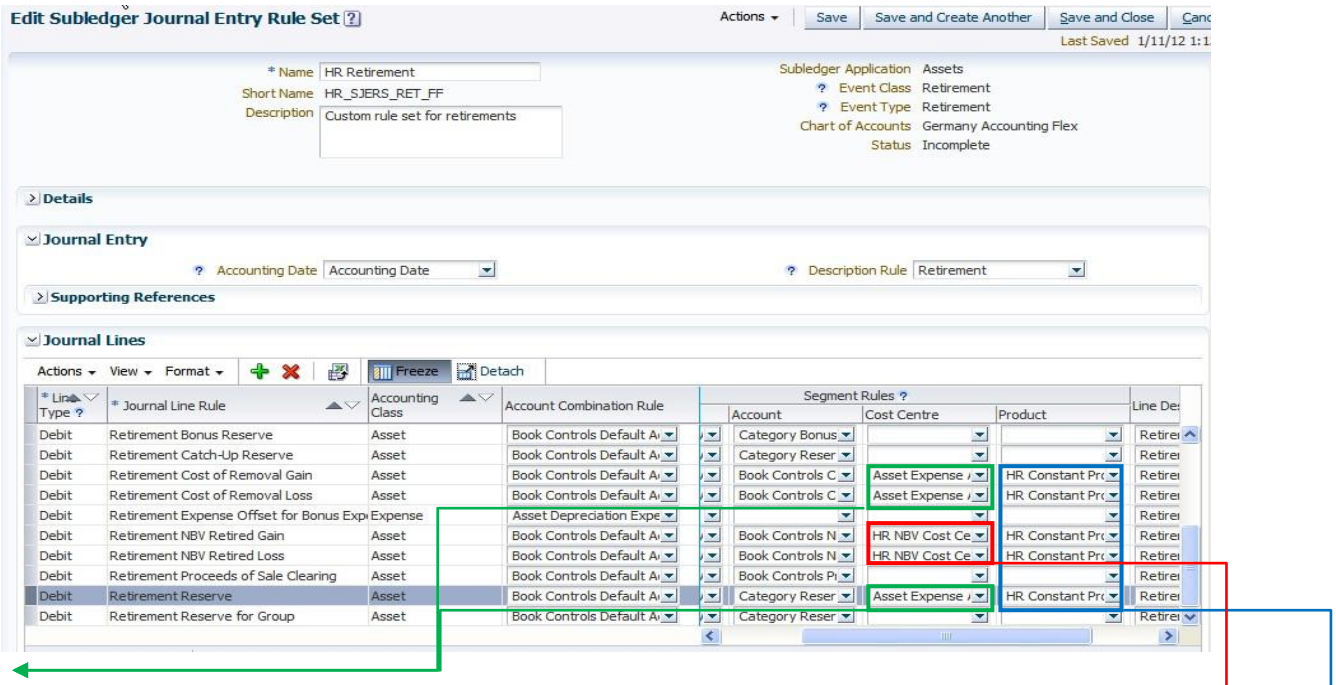
Account Rule from Case 6: Natural Account Segment from the expense account combination in the Manage Asset Category page. **Note:** The depreciation catch-up expense for backdated expensed asset additions is included in the Additions journal and NOT in the Depreciation Journal. **Note:** This Account Rule to use the natural account from the Define Categories page for tax books will have to be defined for all events where an expense account line is to be created.



This is again Case 6 where we want to use the natural account segment of the expense account combination in the Define Categories page for tax books.

This is again Case 1 where we want to take the cost center segment value from the expense account combination in the Assignments region.

This is the Account Rule from Case 3 HR Constant Product value 150, where we want to take constant value 150 for the Product segment.



This is again Case 1 where we want to take the cost center segment value from the expense account combination in the Assignments region

This is the Account Rule from Case 4 where we wanted to take the Cost Center segment value from various locations depending on the Retirement Type.

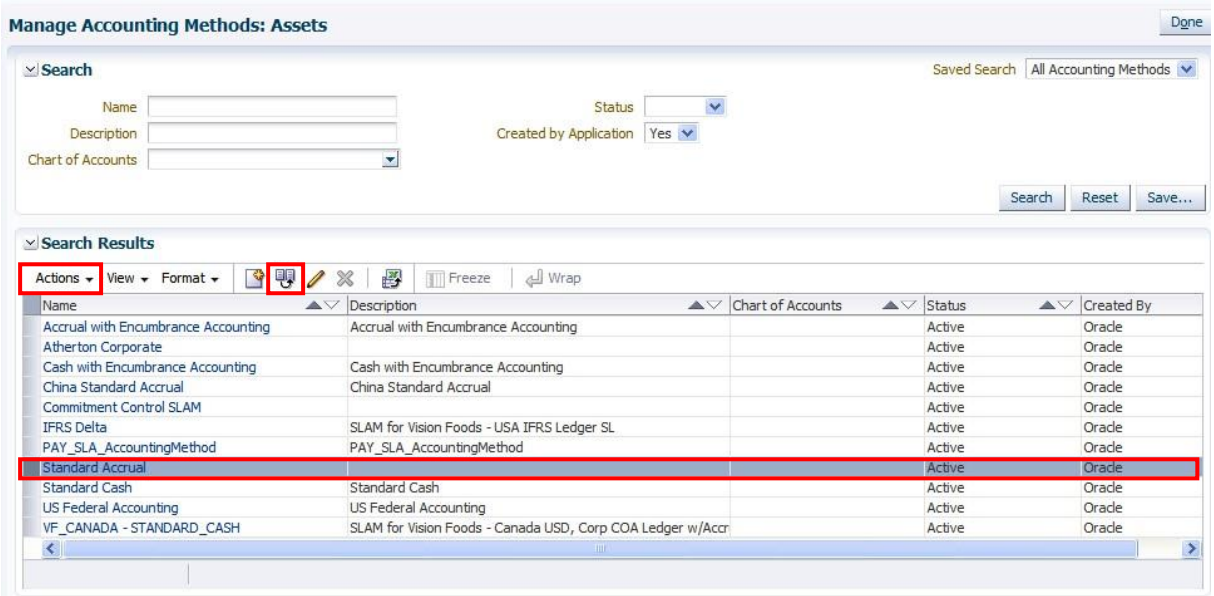
This is the Account Rule from Case 3 where we want to take constant value 150 for the Product segment.

Subledger Accounting Customization –Accounting Method

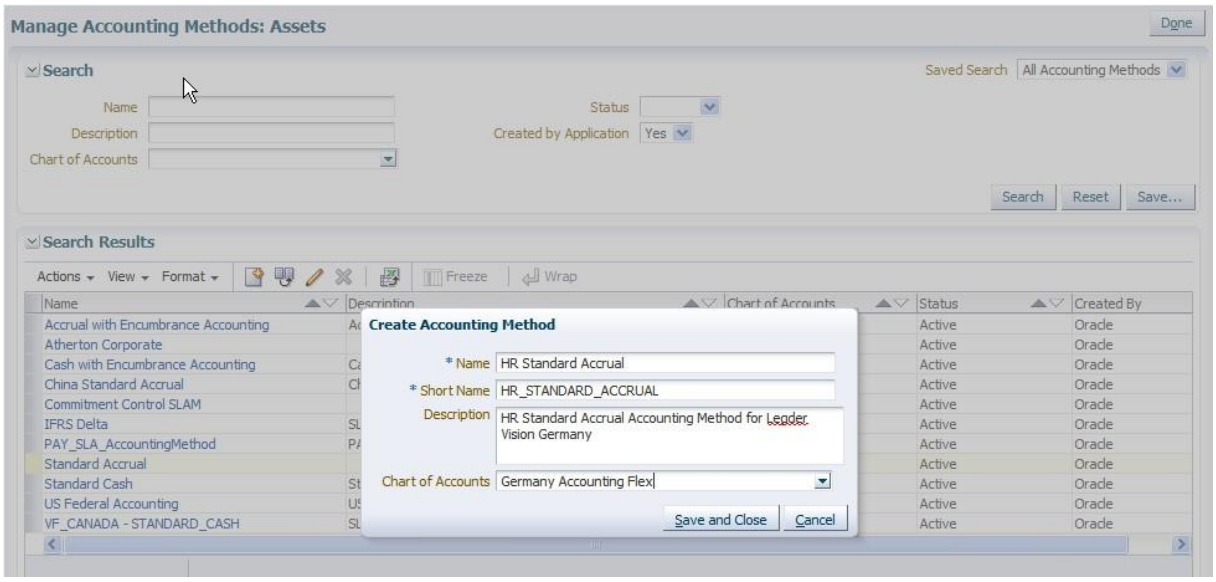
We will now see the Subledger Accounting Method for our example setup and then discuss how to set up the Accounting Method.

How to set up the Accounting Method (AM)?

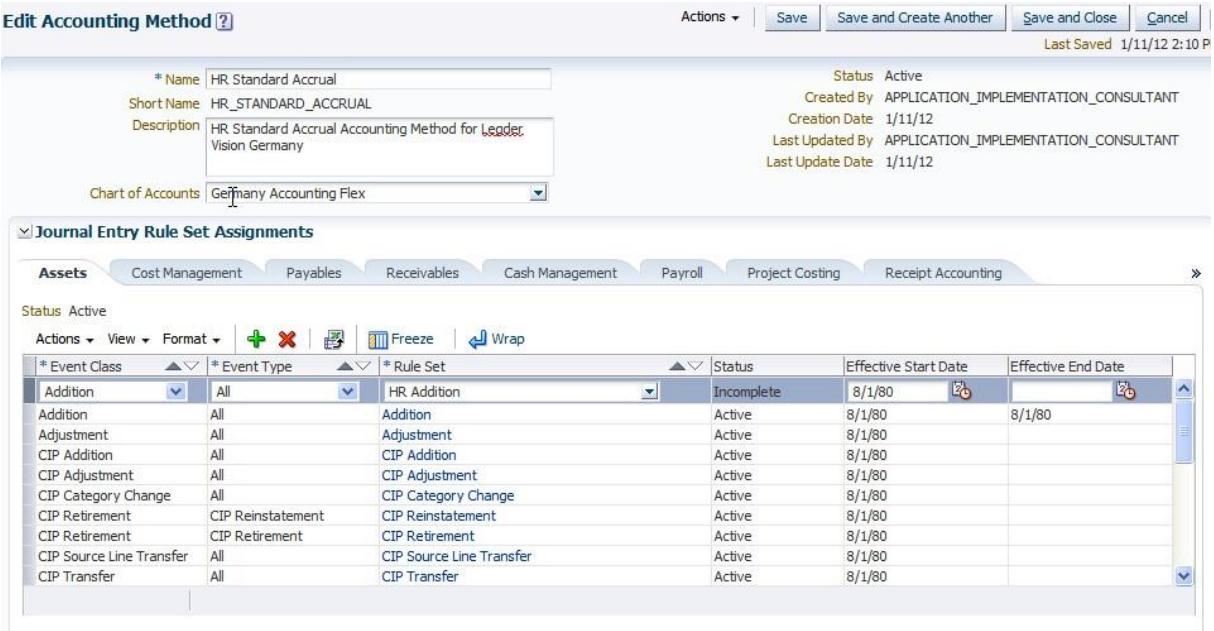
Navigate to Manage Accounting Methods and search for a seeded Accounting Method to copy from:



Click on the Duplicate button or got to Actions > Duplicate. This will open a pop-up window. Enter the Accounting Method Name, Short Name and Description making sure that the chosen name is meaningful. If the Subledger Journal Entry Rule Sets to be used were set up with a Chart of Accounts, then pick also the same Chart of Accounts for the Subledger Journal Entry Rule Set. Click on Save and close.

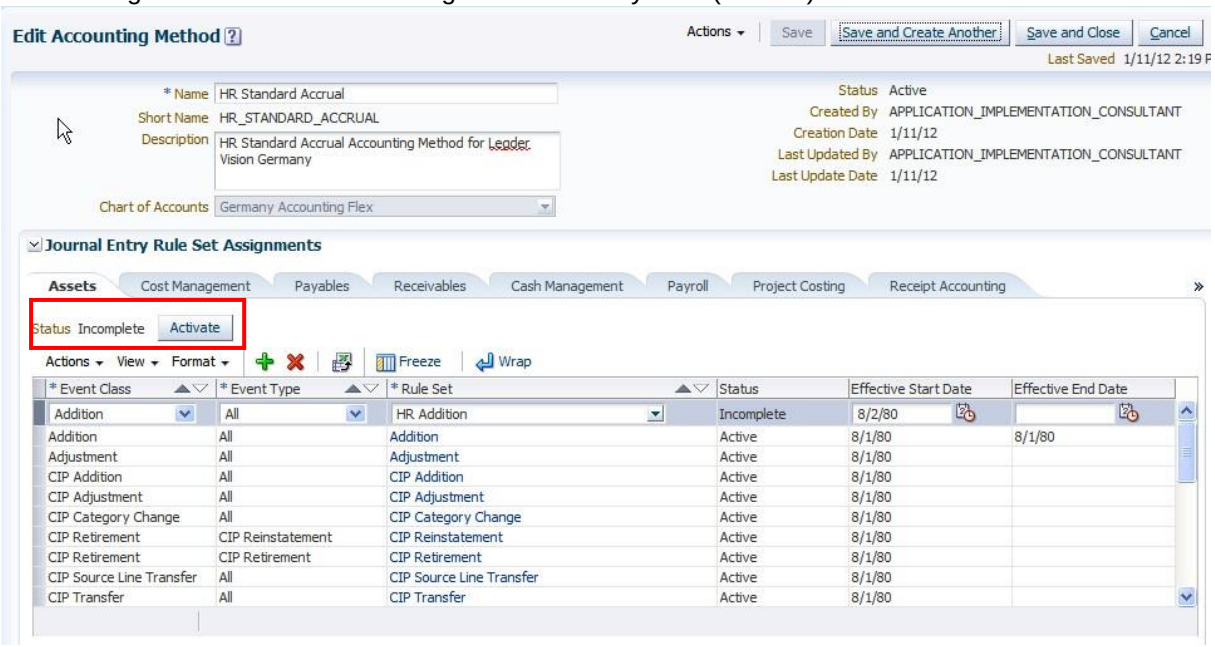


How are the custom SLERS now linked to the Accounting Method?

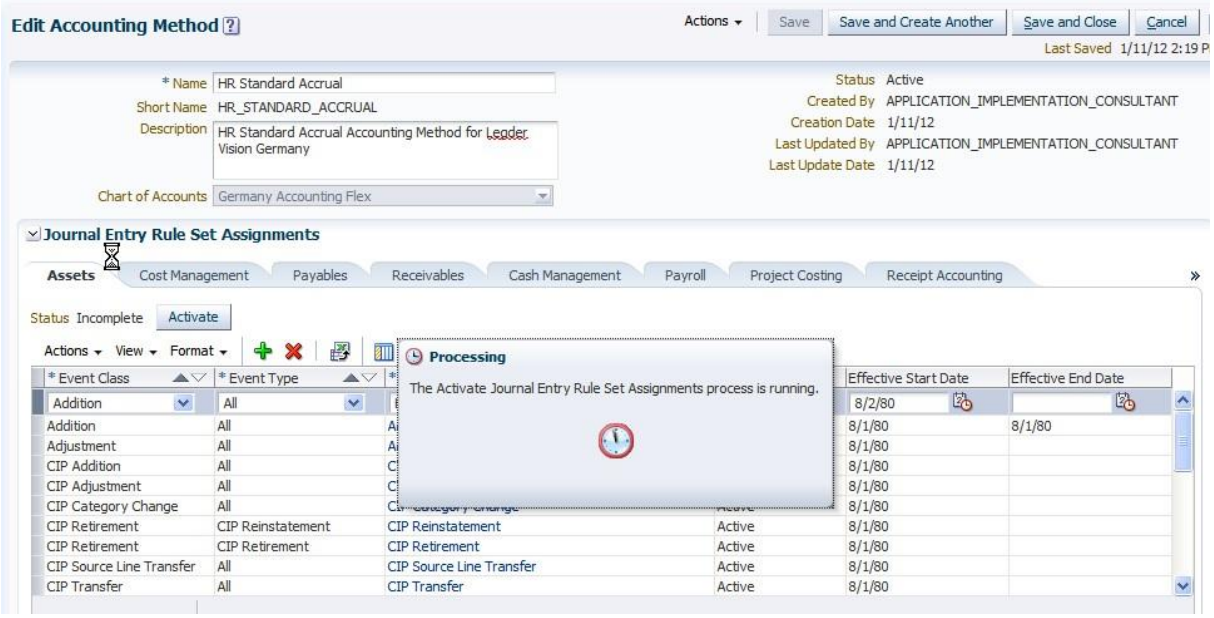


Either delete the seeded event class or enter an Effective End date. Add the previously defined custom SJERS via the Green Plus button or via Actions > Add Row. To delete the seeded SJERS that is replaced by the custom SJERS click on the Red Cross button or click on Actions > Remove.

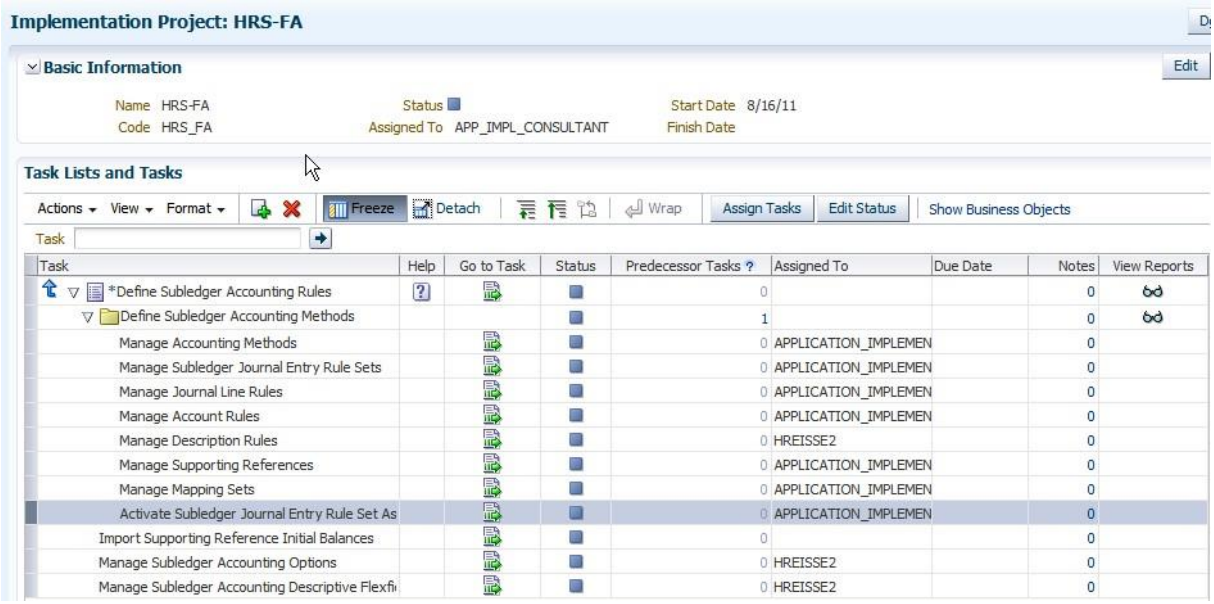
After having added all custom Subledger Journal Entry Sets (SJERS) click on Save.

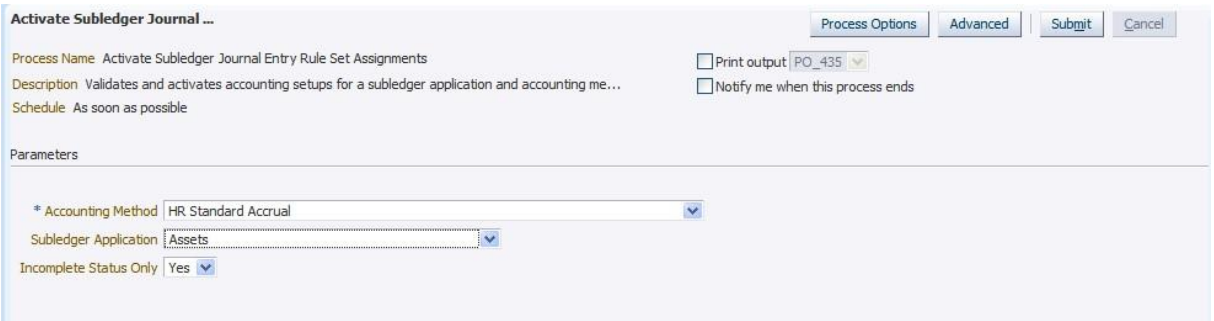


This will enable the Activate button which can be clicked to validate and activate all still Incomplete Subledger Journal Entry Sets (SJERS). However, this can take a while.



Alternatively, one can submit the Activate Subledger Journal Entry Sets Assignments job as this will activate the SJERS as a background job. In that case, click on Save and Close and navigate to:



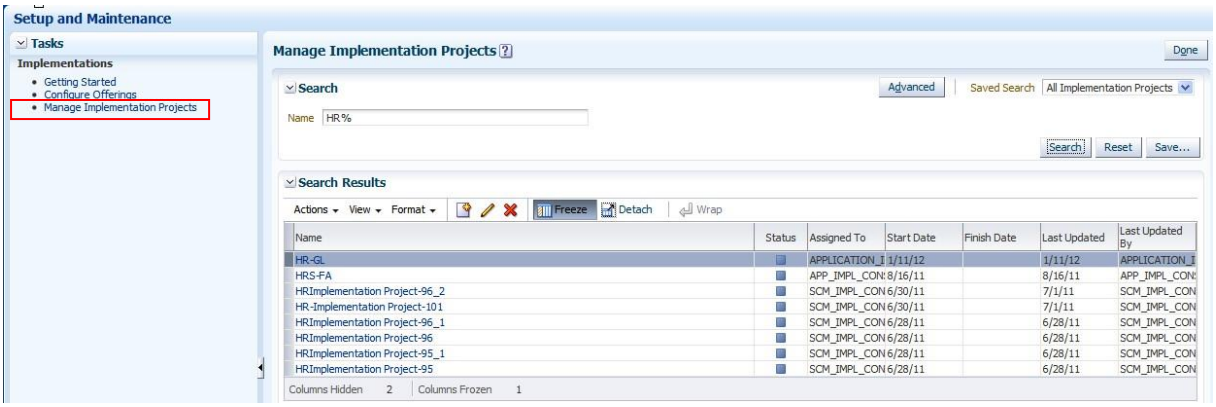


Subledger Accounting Customization – Link with the Ledger

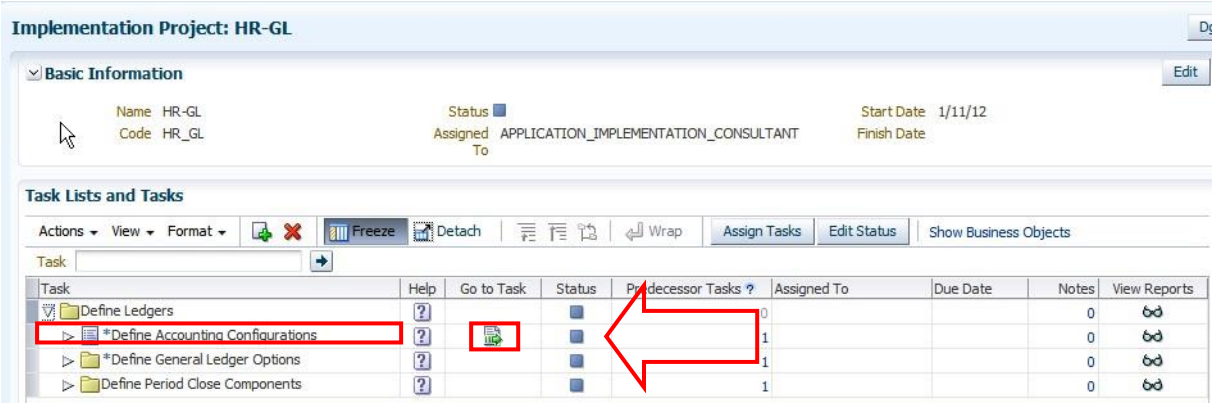
The custom Subledger Accounting Setup is now complete and only the last step now needs to be performed:

How to link the Accounting Method (AM) with the Ledger?

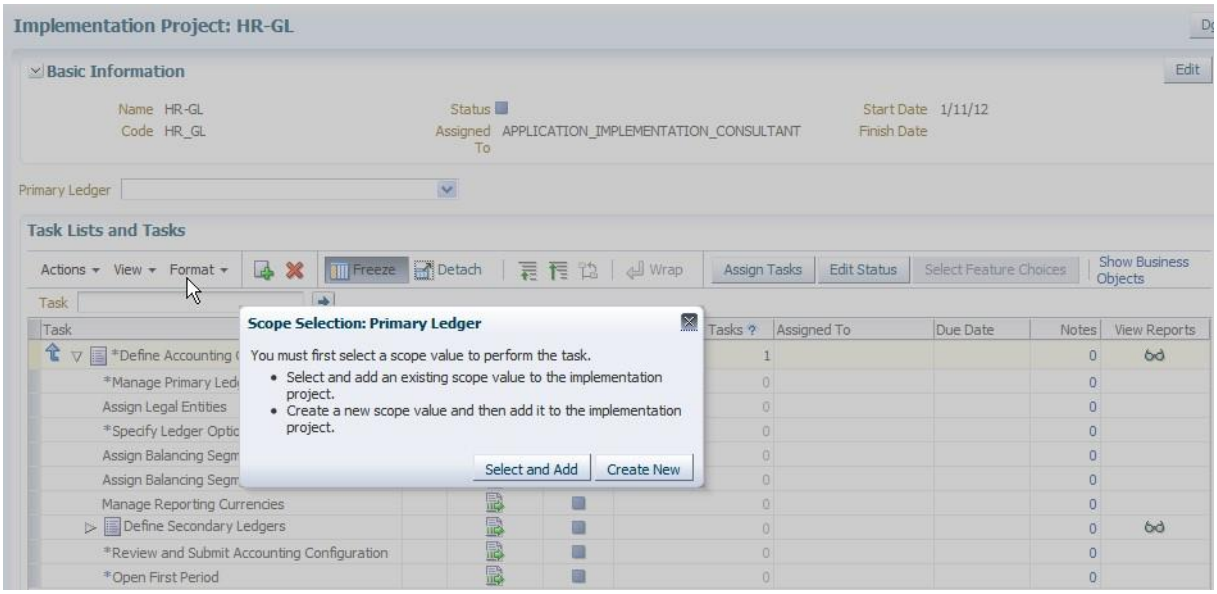
In the FSM, query a Define Ledgers project.



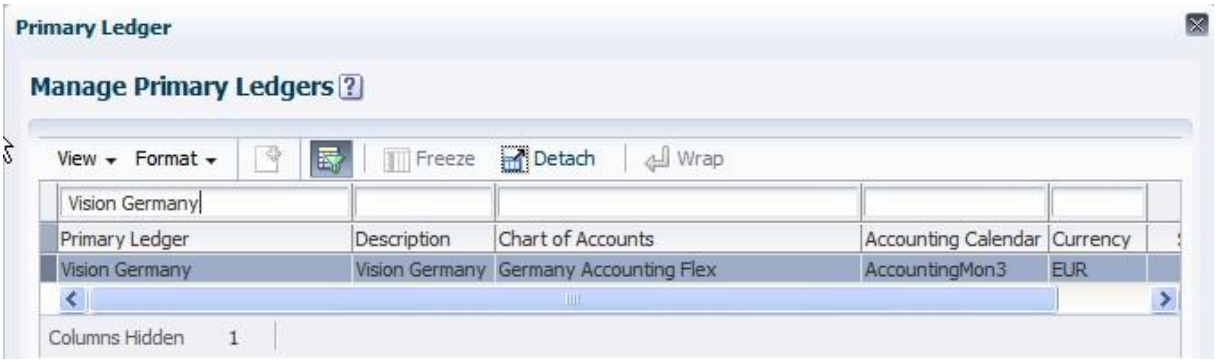
Open the project and click on Go to Task for Define Accounting Configurations.



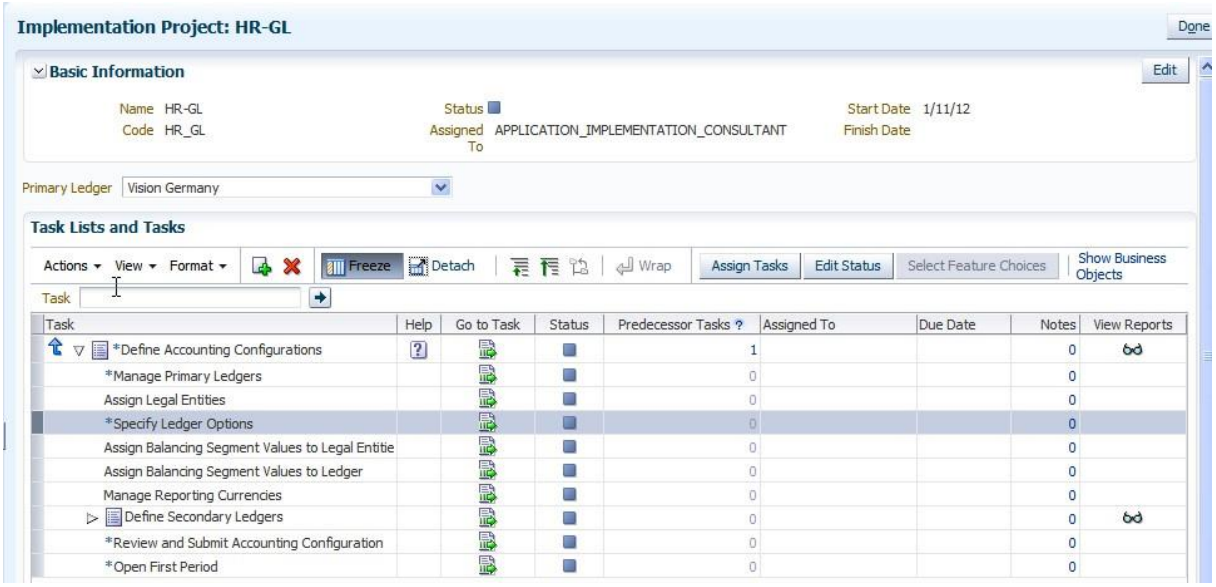
This will open a pop-up page where one needs to decide whether to select an already existing ledger or to create a new one.



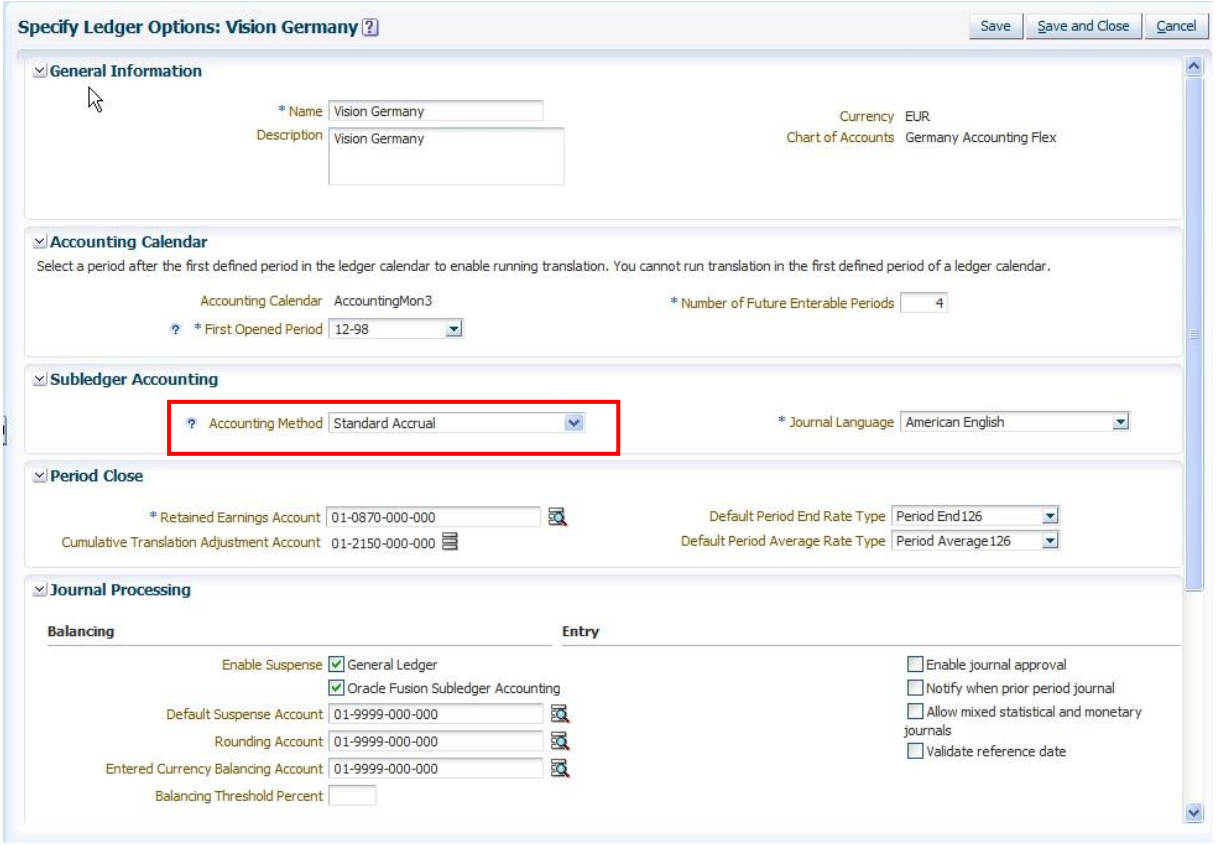
In our case, the ledger exists already, so we choose Select and Add.



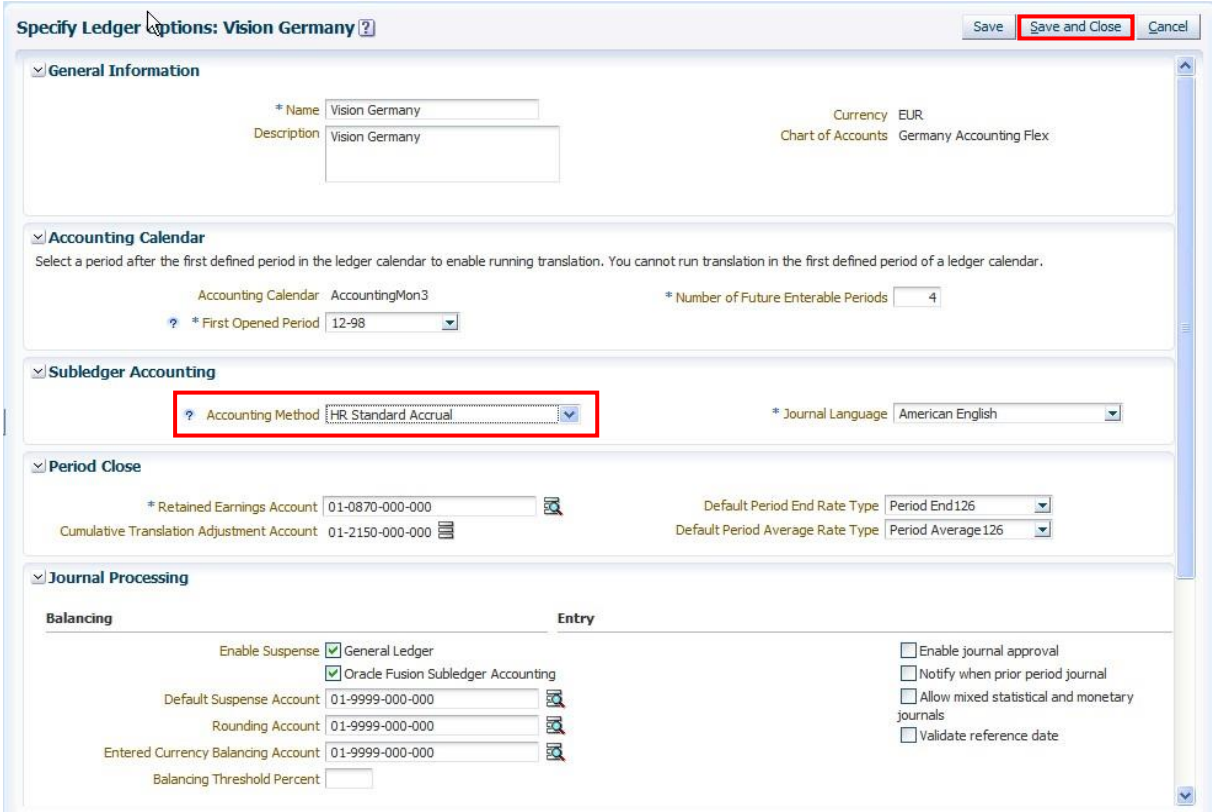
We query the Ledger to which the Accounting Method should be attached. Once we have clicked on Save, we get back to our implementation project. Click on Go to Task for Specify Ledger Options.



This will open the Ledger Options for the ledger we have chosen.



The seeded Accounting Method was used in the ledger up to now. Pick the custom Accounting Method and click on Save and Close.


Specify Ledger Options: Vision Germany
Save
Save and Close
Cancel
General Information
* Name Vision Germany
Description Vision Germany
Currency EUR
Chart of Accounts Germany Accounting Flex
Accounting Calendar
Select a period after the first defined period in the ledger calendar to enable running translation. You cannot run translation in the first defined period of a ledger calendar.
Accounting Calendar AccountingMon3
* First Opened Period 12-98
* Number of Future Enterable Periods 4
Subledger Accounting
Accounting Method HR Standard Accrual
* Journal Language American English
Period Close
* Retained Earnings Account 01-0870-000-000
Cumulative Translation Adjustment Account 01-2150-000-000
Default Period End Rate Type Period End126
Default Period Average Rate Type Period Average126
Journal Processing
Balancing
Entry
Enable Suspense
General Ledger
Oracle Fusion Subledger Accounting
Default Suspense Account 01-9999-000-000
Rounding Account 01-9999-000-000
Entered Currency Balancing Account 01-9999-000-000
Balancing Threshold Percent
Enable journal approval
Notify when prior period journal
Allow mixed statistical and monetary journals
Validate reference date

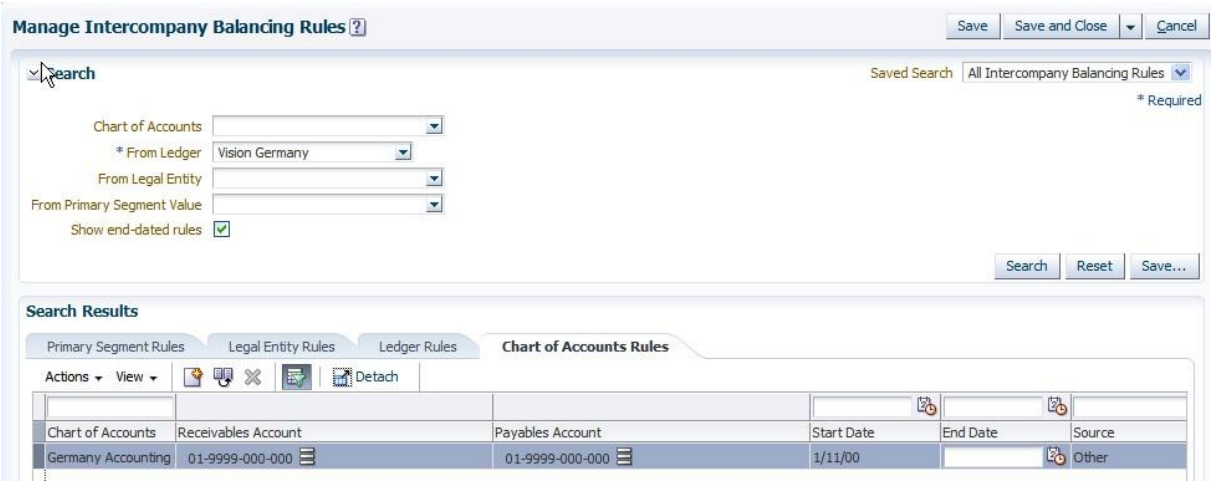
Intercompany Balancing Rules

The Intercompany Accounts Payable and the Intercompany Accounts Receivable accounts are not found in the Accounts tab of the Manage Asset Book page. Instead, Intercompany Balancing Rules have to be set up. This allows more flexibility as for each journal category; one can decide to use a different intercompany account. Or one can also set up a Chart of Accounts rule which will cover all intercompany transactions for the ledger. We will display now how such a Chart of Accounts rule can be set up.

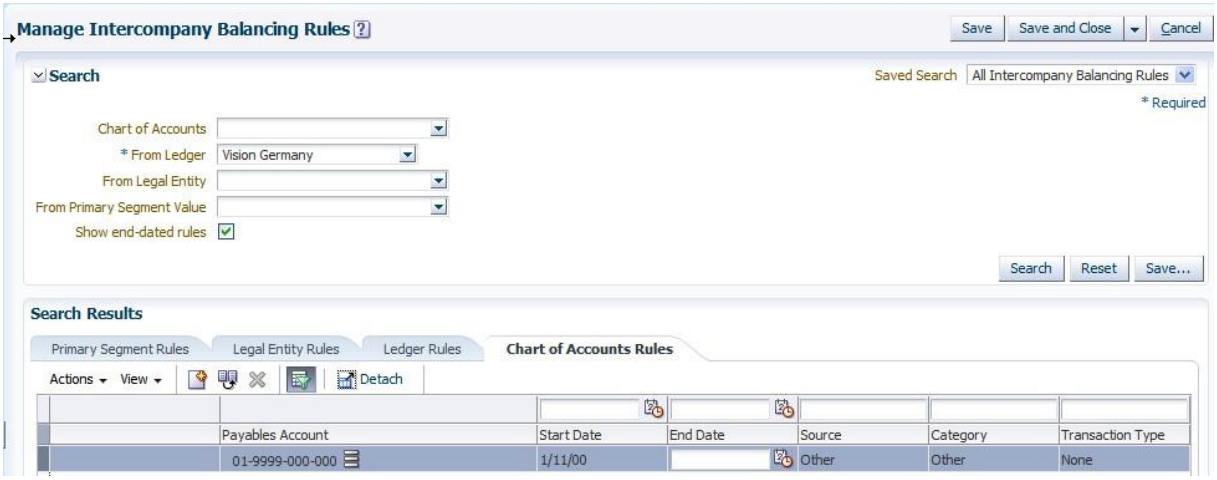
How to set up the Intercompany Balancing Rules?

1. Navigation: FSM > task Manage Intercompany Balancing Rules

2. Query the Ledger to which the Accounting Method is attached



Here we can see a rule which is already set up. Pick the Chart of Accounts, the Receivables and the Payables accounts; the source is Other, the journal category is also Other, and the Transaction type is None. Enter a start date and save. This is the simplest way to set up an intercompany rule. For a more elaborate and refined setup, please consult to the documentation on Intercompany.



Running Create Accounting then will show this result for an 'Intercompany Transfer', i.e. a transfer transaction for an asset between balancing segments:

Debit Intercompany Receivables
Credit Intercompany Payables

Event Class	Transfer	**Transaction Number**	334485
Event Type	Transfers	**Event Date**	Feb 28, 2007
Event Number	1		
Asset Number	646164	Book Type Code	HR1
Period Entered	02-07	Asset Description	Laptop

Ledger Vision Germany **Ledger Currency** EUR **Accounting Date** Feb 28, 2007

Journal Entry Description

Line	Accounting Class	Account	Entered Currency	Entered Debit	Entered Credit	Accounted Debit	Accounted Credit
1	Asset	01-0420-000-000	EUR		2,400.00		2,400.00
2	Asset	01-0430-000-000	EUR	533.33		533.33	
3	Asset	02-0420-000-000	EUR	2,400.00		2,400.00	
4	Asset	02-0430-000-000	EUR		533.33		533.33
5	Intracompany	01-9999-000-000	EUR	1,866.67		1,866.67	
6	Intracompany	02-9999-000-000	EUR		1,866.67		1,866.67
					Total for Journal Entry	**4,800.00**	**4,800.00**

Note: Even though we have set up an Intercompany Balancing, Chart of Accounts Rule, the Accounting Class is Intracompany.

Note: If setting up intercompany balancing rules per journal category, then more Intercompany Balancing Rules for more journal categories have to be set up, depending on the requirements. An example would be an invoice in AP with company 03 as the balancing segment and added to company 02 when the asset is created. This would require also a rule for category Addition or Adjustment as well as Journal Line Types and Subledger Journal Entry Rule Sets for the Event Class Additions, respectively Adjustments.

GL Reconciliation

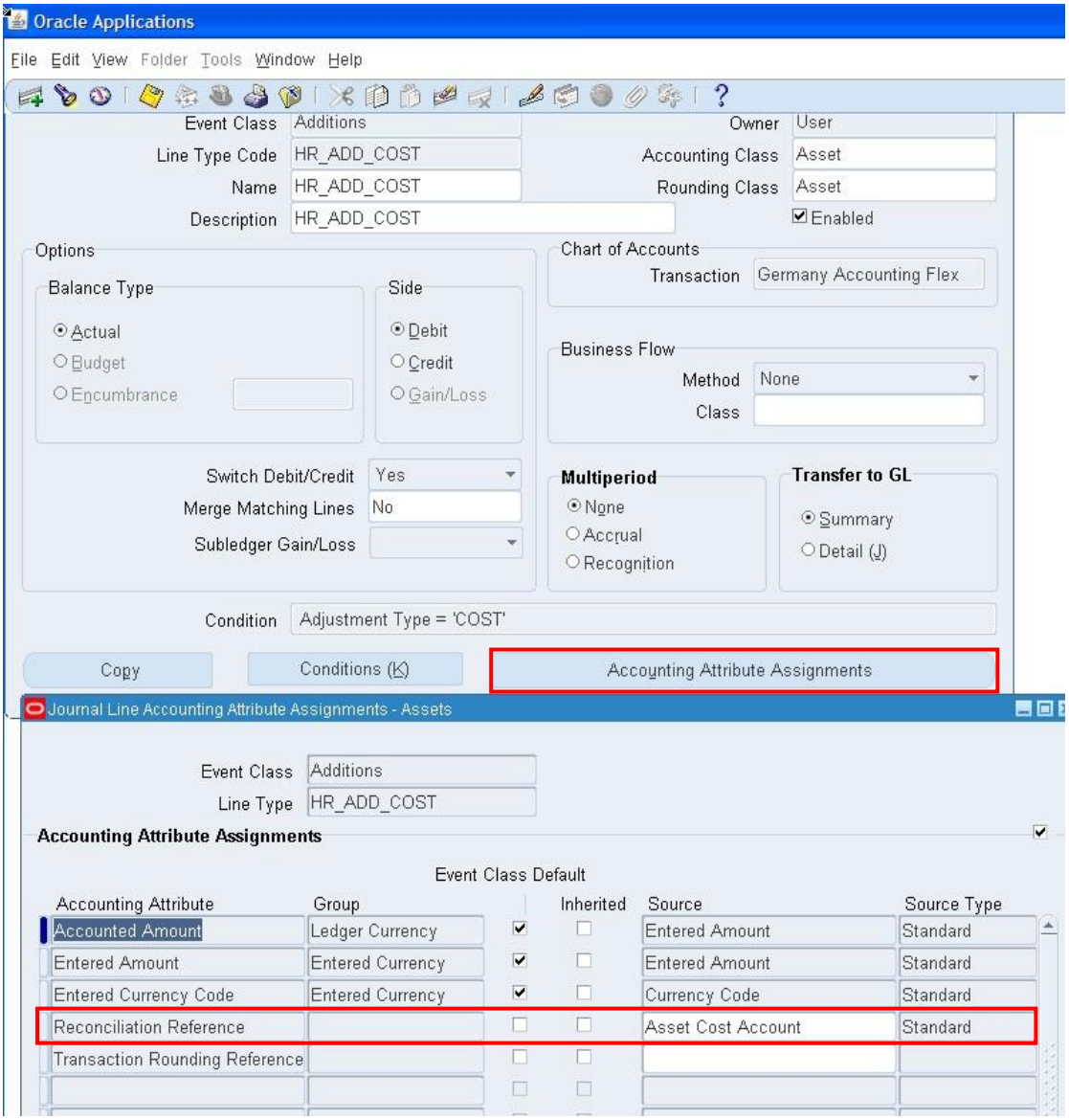
The reconciliation functionality that was part of localization in EBS up to Release 12 will be incorporated in the core General Ledger also in Fusion in a later version. In order to use it in GL for accounts created by the subledger, there are some setup steps necessary.

How to set up GL Reconciliation for FA accounts with SLA when available?

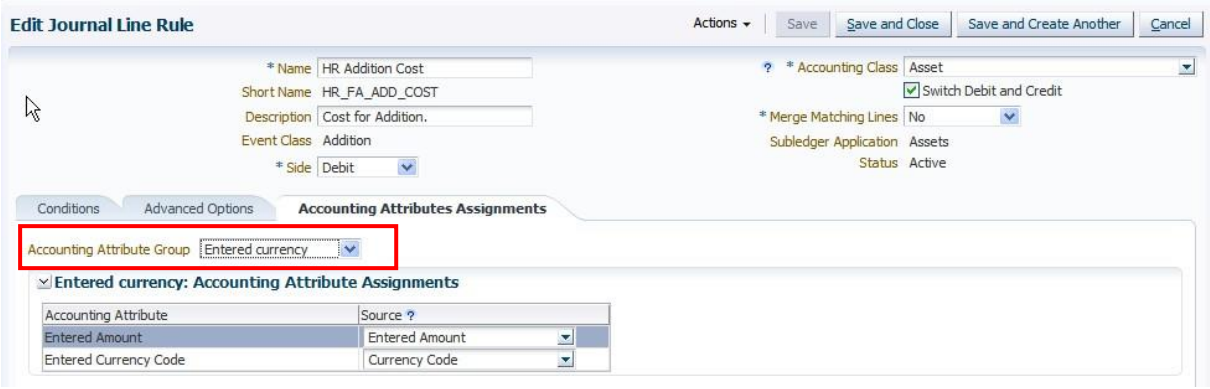
1. Navigation: Manage Journal Line Rules

2. Give your JLR a Short Name, Description, and a meaningful name when you copy the seeded JLR. Click on Accounting Attribute Assignments tab and pick the Accounting Attribute Group for Reconciliation Reference when it will be available. Then choose the account as the source for the Reconciliation Reference. Save.

This is what it looks like in EBS Release 12:



And this is what the corresponding page looks like in Fusion V1:



Once the Reconciliation feature is available in Fusion and one is able to create the Journal Line Rules with the Accounting Attribute Reconciliation Reference, one would add the new custom JLR via the Green Plus button or via Actions > Add Row to the Subledger Journal Entry Rule Sets. The seeded JLR that is replaced by the custom JLR needs to be removed via the Red Cross button or via Actions

> Remove from the Subledger Journal Entry Rule Sets. Make sure that the Subledger Journal Entry Rule Set is active. The next time Create Accounting is run in Final mode and the journals are sent to GL, the lines with the Reconciliation Reference will be available for the Reconcile Journal Lines feature.

Testing the Definition

What will the accounts look like based on our setup?

We will now check our definition on a backdated asset addition where we will also see depreciation catch-up expense. The Create Accounting output shows:

Event Class	Addition	Transaction Number	334477
Event Type	Addition	Event Date	Jan 1, 2007
Event Number	1		
Asset Number	HR-FD-2	Book Type Code	HR1
Period Entered	01-07	Asset Description	Desk

Ledger Vision Germany Ledger Currency EUR Accounting Date Jan 1, 2007

Journal Entry Description

Line	Accounting Class	Account	Entered Currency	Entered Debit	Entered Credit	Accounted Debit	Accounted Credit
1	Asset	01-0410-112-130	EUR	2,400.00		2,400.00	
2	Asset	01-0493-000-000	EUR		2,400.00		2,400.00
3	Asset	01-0420-112-120	EUR		400.00		400.00
4	Expense	01-4831-112-000	EUR	400.00		400.00	
					Total for Journal Entry	2,800.00	2,800.00

Line 1 is the asset cost account combination.
Line 2 is the asset clearing account combination.
Line 3 is the reserve account combination.

Value 112 is from Case 1 where we want to take the cost center segment value from the expense account combination in the Assignments region.

Value 120 is from Case 2: Product Segment value from the Reserve Account code combination in the Manage Asset Category page.

Value 130 is from Case 5: Product Segment value from the Descriptive Flexfield where we want to take the Product segment value from the Descriptive Segment Value in case of an asset addition.

The expense account is completely that entered as the assignment for the asset because this is the corporate book journal. Now let us look at the same addition event in the tax book.

Ledger Vision Germany Ledger Currency EUR Accounting Date Jan 1, 2007

Journal Entry Description

Line	Accounting Class	Account	Entered Currency	Entered Debit	Entered Credit	Accounted Debit	Accounted Credit
1	Asset	01-9920-112-130	EUR	2,400.00		2,400.00	
2	Asset	01-9923-000-000	EUR		2,400.00		2,400.00
3	Asset	01-9925-112-120	EUR		240.00		240.00
4	Expense	01-9926-112-000	EUR	240.00		240.00	
					Total for Journal Entry	2,640.00	2,640.00

Value 112 is from Case 1 where we want to take the cost center segment value from the expense account combination in the Assignments region.

Value 120 is from Case 2: Product Segment value from the Reserve Account code combination in the Manage Asset Category page.

Value 130 is from Case 5: Product Segment value from the Descriptive Flexfield where we want to take the Product segment value from the Descriptive Segment Value in case of an asset addition.

Natural account value 9926 is from Case 6: Natural account segment of the expense account combination in the Define Categories page for tax books.

To test our setup for a retirement event, we have entered a full retirement transaction and ran Create Accounting in draft mode:

Event Class Retirement
Event Type Retirement
Event Number 1
Asset Number HR-FD-2
Period Entered 02-07

Transaction Number 334489
Event Date Feb 28, 2007

Book Type Code HR1
Asset Description Desk

Ledger Vision Germany Ledger Currency EUR Accounting Date Feb 28, 2007

Journal Entry Description

Line	Accounting Class	Account	Entered Currency	Entered Debit	Entered Credit	Accounted Debit	Accounted Credit
1	Asset	01-0420-000-000	EUR		66.67		66.67
2	Expense	01-4831-112-000	EUR	66.67		66.67	
3	Asset	01-0420-112-150	EUR	533.34		533.34	
4	Asset	01-0410-112-150	EUR		2,400.00		2,400.00
5	Asset	01-2310-402-150	EUR	1,866.66		1,866.66	
					Total for Journal Entry	2,466.67	2,466.67

Line 1 is the Retirement Catch-Up Reserve account offsetting the Retirement Expense. We have not customized this account.
Line 2 is the Retirement Expense account.
Line 3 is the Retirement Reserve account.
Line 4 is the Retirement Cost account.
Line 5 is the NBV Retired account.

Value 112 is from Case 1 where we want to take the cost center segment value from the expense account combination in the Assignments region.

Value 402 is from Case 4 where we take the Cost Center segment value depending on the Retirement Type.

Value 150 is from Case 3 where we take constant value 150 for the Product segment.

After mass copying the transaction to the tax book and running Create Accounting in draft mode for the tax book we can see that we are getting the following journal entry for the same retirement:

Event Class	Retirement	Transaction Number	334491
Event Type	Retirement	Event Date	Feb 28, 2007
Event Number	1		
Asset Number	HR-FD-2	Book Type Code	TAXHR1
Period Entered	02-07	Asset Description	Desk

Ledger Vision Germany **Ledger Currency** EUR **Accounting Date** Feb 28, 2007

Journal Entry Description

Line	Accounting Class	Account	Entered Currency	Entered Debit	Entered Credit	Accounted Debit	Accounted Credit
1	Asset	01-9925-000-000	EUR		40.00		40.00
2	Expense	01-9926-112-000	EUR	40.00		40.00	
3	Asset	01-9925-112-150	EUR	320.00		320.00	
4	Asset	01-9920-112-150	EUR		2,400.00		2,400.00
5	Asset	01-2310-402-150	EUR	2,080.00		2,080.00	
					Total for Journal Entry	2,440.00	2,440.00

Value 112 is from Case 1 where we want to take the cost center segment value from the expense account combination in the Assignments region.

Value 402 is from Case 4 where we take the Cost Center segment value depending on the Retirement Type.

Value 150 is from Case 3 where we take constant value 150 for the Product segment.

Natural account value 9926 is from Case 6: Natural account segment of the expense account combination in the Define Categories page for tax books.

After having entered all event triggering transactions, one can run Create Accounting in Draft mode with report style Detail, review the result, make necessary changes and run Create Accounting in Draft mode again until the SLA setup for Fusion Assets is completely as intended.

Note: Every time a component in the SLA setup is updated or altered, the Activate Subledger Journal Entry Sets Assignments job needs to be run again before Create Accounting can be resubmitted.

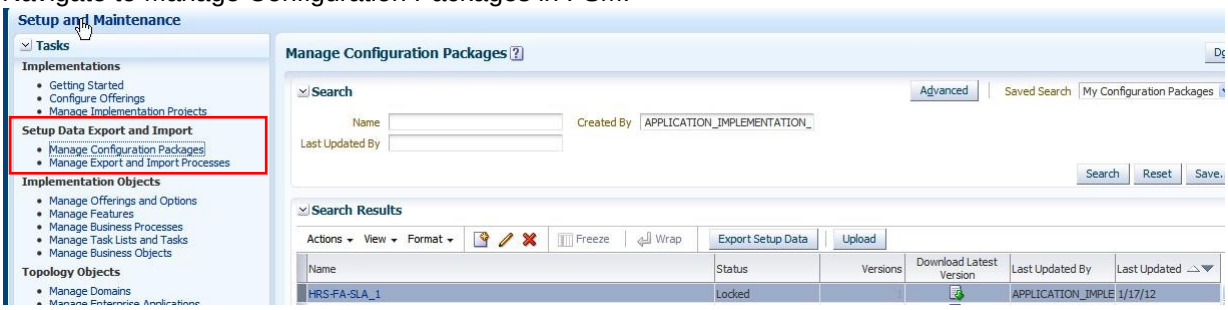
How to transfer the SLA Setup for Fusion Assets to another instance?

The Subledger Accounting setup needs to be done on a Test instance first and tested thoroughly entering all transactions to verify that the setup meets the requirements and no setup mistake has been made before exporting the setup.

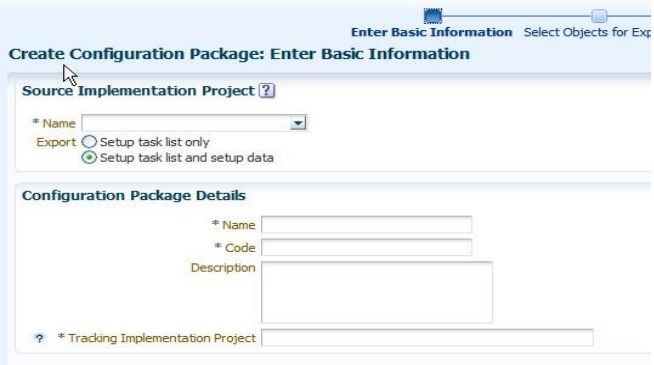
Once one is sure that the setup is as desired and working well, then one can use the Setup Data Export and Import functionality in the Functional Setup Manager (FSM).

Make sure that an Implementation Project exists with the same setup steps that need to be exported:

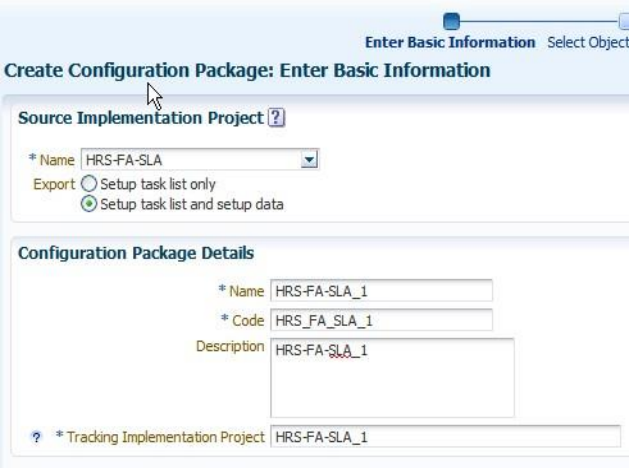
Navigate to Manage Configuration Packages in FSM.



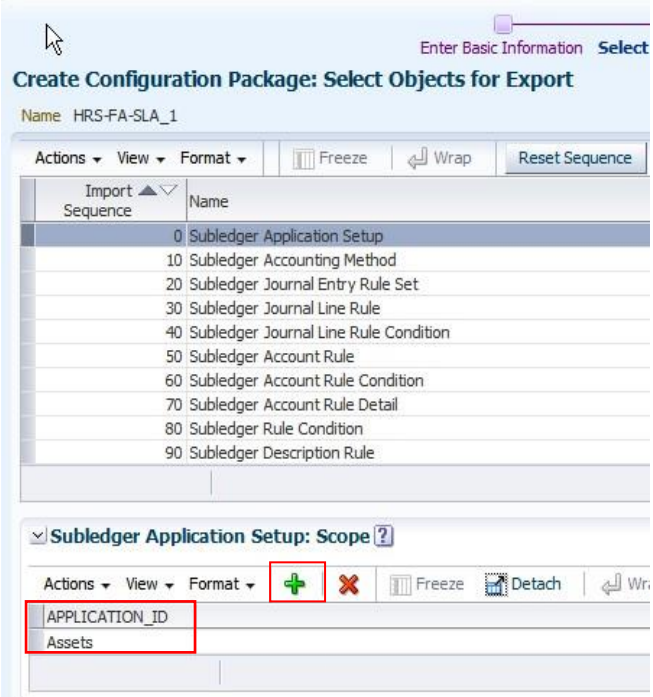
Create a new Configuration package by clicking on the New button. This page:



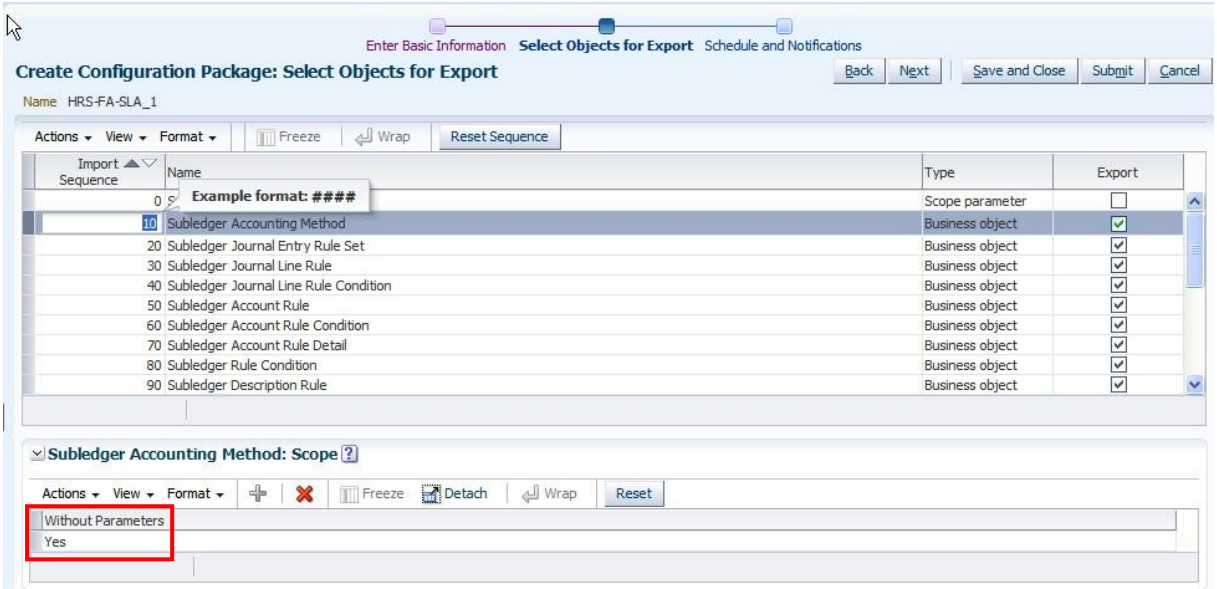
Pick the Implementation Project defines in step 1.



Choose Export Setup task list and setup data. The configuration package name will be created automatically. Click on Next.

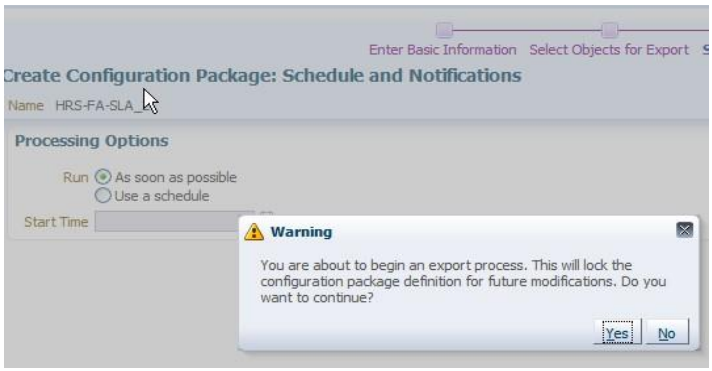


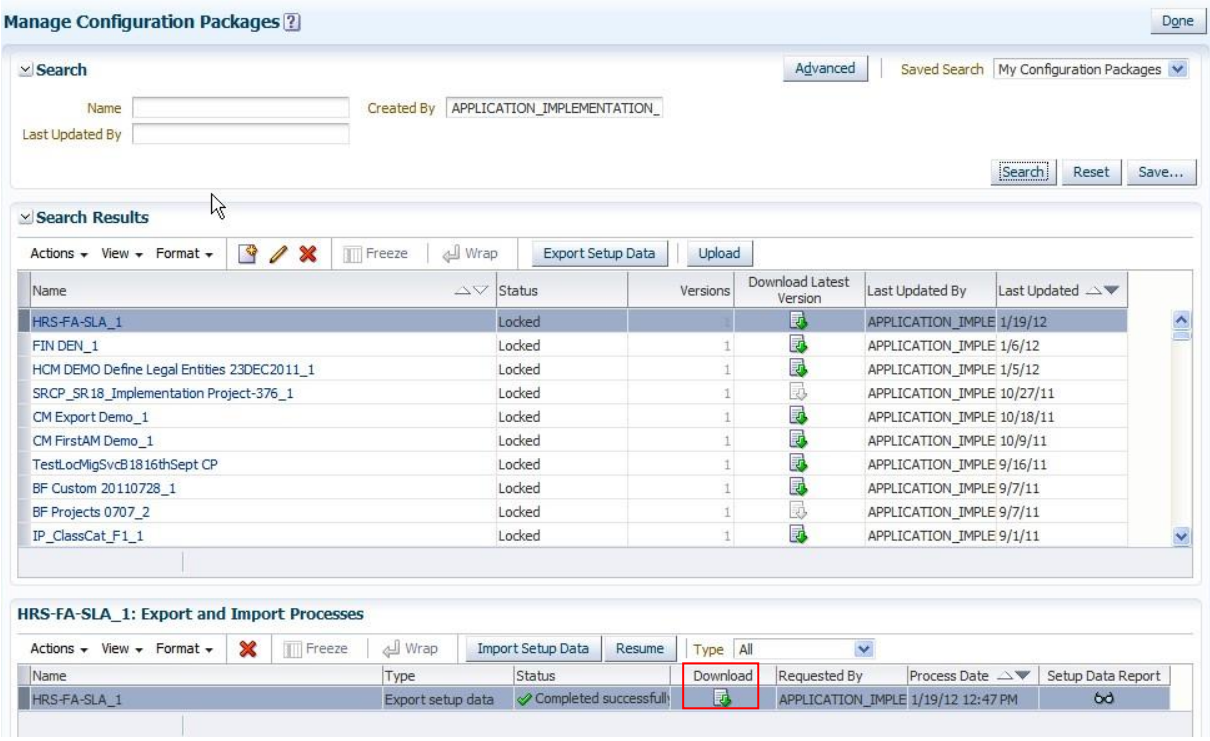
Add the Subledger Application Setup Scope by using the Green Plus button and choose Assets.



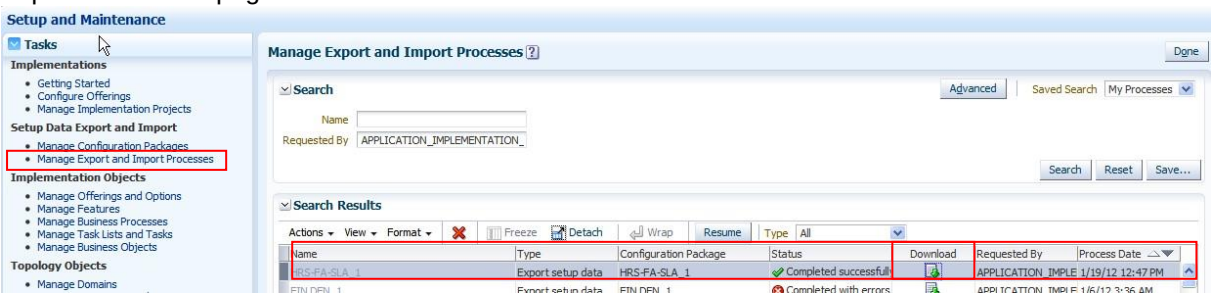
Note that we cannot give our Accounting Method as a parameter to export. We will export the complete SLA setup data for application Assets. ALL SLA setups must be migrated together in the configuration package; there must be no partial migration i.e. migrate account rules now, but accounting methods later. Click on Next.

Run as soon as possible or use a schedule. Then Submit and accept the lock of the configuration package.





Wait until the Export completes. One can also query the Export process in the Manage Export and Import Processes page.



Once the Export process completes one can download the Configuration Package into a .zip file, which is then moved to the target instance (i.e., the system where one wants the setup to be imported) and imported there. One can also download the Exports Results Report, the Setup Data Report, and the Process Status Details by clicking on the Download button.

After verifying the setup has been imported properly into the (i.e., target) instance, the Offering will be ready for transactions. Please **note** that we have only exported the Subledger Accounting setup. After importing this setup, one will still have to link the Accounting Method to the ledger and create Intercompany Balancing Rules if needed. FSM provides a set of reports on both exported and imported setup data to help in the verification process. For further information on the subject please search in MOS or check with the Oracle Fusion Functional Setup Manager team.